

# PRICING PROPOSAL TO THE AUSTRALIAN ENERGY REGULATOR

DISTRIBUTION SERVICES FOR  
1 JULY 2011 TO 30 JUNE 2012

ERGON ENERGY CORPORATION LIMITED

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AER Approved – Version 2.1



everything in our power



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## GLOSSARY

| Abbreviation | Description                                 |
|--------------|---------------------------------------------|
| ABS          | Australian Bureau of Statistics             |
| ACS          | Alternative Control Services                |
| AD           | Authorised Demand                           |
| AER          | Australian Energy Regulator                 |
| ARR          | Annual Revenue Requirement                  |
| ATMD         | Any Time Maximum Demand                     |
| CAC          | Connection Asset Customer                   |
| CAM          | Cost Allocation Method                      |
| CPI          | Consumer Price Index                        |
| DCOS         | Distribution Cost of Supply                 |
| DNSP         | Distribution Network Service Provider       |
| DUOS         | Distribution Use of System                  |
| EEQ          | Ergon Energy Queensland Pty Ltd             |
| EG           | Embedded Generator                          |
| Ergon Energy | Ergon Energy Corporation Limited            |
| GWh          | Gigawatt Hour                               |
| ICC          | Individually Calculated Customer            |
| kV           | Kilovolt                                    |
| kVA          | Kilovolt-ampere                             |
| kW           | Kilowatt                                    |
| kWh          | Kilowatt Hour                               |
| LOB          | Line of Business                            |
| LRMC         | Long Run Marginal Cost                      |
| MAR          | Maximum Allowable Revenue                   |
| MWh          | Megawatt Hour                               |
| NEL          | National Electricity Law                    |
| NEM          | National Electricity Market                 |
| Opex         | Operating Expenditure                       |
| PTRM         | Post Tax Revenue Model                      |
| QCA          | Queensland Competition Authority            |
| ROA          | Return on Assets                            |
| Rules        | National Electricity Rules                  |
| SAC          | Standard Asset Customer                     |
| STPIS        | Service Target Performance Incentive Scheme |
| TNSP         | Transmission Network Service Provider       |
| Tribunal     | Australian Competition Tribunal             |
| TUOS         | Transmission Use of System                  |

# 1 Introduction

## 1.1 Background

Ergon Energy Corporation Limited (Ergon Energy) is unique in the Australian electricity market in that it supplies an area which is six times the size of Victoria, and which covers 97% of Queensland.

Ergon Energy is only one step in the chain whereby electricity is generated and delivered to customers. Its role as a Distribution Network Service Provider (DNSP) in the electricity supply chain can be distinguished from:

- **Generators** – While Ergon Energy owns grid-connected generators at various sites in Queensland, these assets are not used for participating in either the generation or retail markets and have no impact on the National Electricity Market (NEM). Rather, these grid-connected generators are used to provide network support to ensure the reliable performance of Ergon Energy's long rural distribution feeders. The Queensland Competition Authority (QCA) has issued Ergon Energy with a Ring-Fencing waiver in relation to Ergon Energy's grid-connected generators. Ergon Energy also own and operate generators as part of isolated systems outside of the NEM that supply communities in Western Queensland, the Gulf of Carpentaria, Cape York, various Torres Strait Islands as well as Palm and Mornington Islands. None of these generation assets are covered by this Pricing Proposal.
- **Transmission Network Service Providers (TNSP)** – While Ergon Energy is not a transmission company, it does own some high voltage assets that might otherwise be owned and operated by a TNSP. Clause 9.32.1(b) of the National Electricity Rules (the Rules) provides a permanent derogation in relation to the definition of "transmission network" in Queensland to allow Ergon Energy to own and operate these assets as a DNSP.
- **Retailers** – Ergon Energy Corporation Limited is not an electricity retailer, but does own Ergon Energy Queensland Pty Ltd (EEQ). EEQ provides non-competing electricity retail services in regional Queensland to non-market customers.

## 1.2 Final Distribution Determination

On 6 May 2010 the Australian Energy Regulator (AER) made its Final Distribution Determination under Chapter 6 of the Rules, approving capital and operating investment programs to meet Ergon Energy's core purpose – to enhance the economic and lifestyle aspirations of our customers through sustainable energy solutions. This purpose underpins the Ergon Energy vision – to be a world class, customer driven energy business.

## 1.3 Review of the AER's Final Distribution Determination

The AER's 2010-2015 Final Distribution Determination for Ergon Energy was the subject of an application for review to the Australian Competition Tribunal (the Tribunal) under Division 3A of Part 6 of the *National Electricity Law*.

The Tribunal published its final decision on 19 May 2011 (the Tribunal Determination), which:

- (a) amends the formula for pricing Ergon Energy's Quoted Services;
- (b) amends the AER's allowance for non-system property capital expenditure and labour cost escalators; and
- (c) amends the AER's figure for gamma from 0.65 to 0.25.

Version 1 of Ergon Energy's Pricing Proposal (submitted 29 April 2011) contained the formula for pricing Ergon Energy's Quoted Services as amended by the Tribunal and gave effect to the Tribunal's decisions in relation to non-system property capital expenditure and labour cost escalators. Version 2 of the Pricing Proposal (submitted 20 May 2011) gave effect to those decisions, as well as the variation to gamma, which as at 29 April 2011, had not been determined by the Tribunal.

Ergon Energy has now received a direction from the Queensland Government requiring a further adjustment to the ARR for Standard Control Services. Section 6.11.1 provides further details.

The following tariffs have been amended to reflect the Queensland Government's directive since Version 2 of Ergon Energy's Pricing Proposal:

- Standard Control Services – network tariffs.

There are no changes to the tariffs applying to the following services in comparison to those submitted with Version 2 of Ergon Energy's Pricing Proposal:

- Alternative Control Services – Street Lighting Services charges;
- Alternative Control Services - Fee Based Services; and
- Alternative Control Services – Quoted Services.

The AER has been advised of the Queensland Government's directive.

## **1.4 Relationship between this Pricing Proposal and Other Network Pricing Documents**

It is a requirement under clause 6.18.2(a)(2) of the Rules for Ergon Energy to submit a Pricing Proposal to the AER at least two months before the commencement of the regulatory year. This Pricing Proposal is therefore a compliance document required under Chapter 6 of the Rules.

Section 1.7 provides an overview and checklist of compliance with the requirements on Ergon Energy in relation to this Pricing Proposal.

This Pricing Proposal is supported by an additional five documents, used by Ergon Energy to assist customers, retailers and other external parties in understanding the development and application of tariffs and connection charges. The suite of documentation comprises:

- An “Information Guide for Standard Control Services Pricing”;
- A “Network Tariff Guide for Standard Control Services”;
- An “Information Guide for Alternative Control Services Pricing”;
- A “Price List for Alternative Control Services”; and
- Ergon Energy’s Capital Contributions Policy.

These documents are discussed below.

#### **1.4.1 Information Guide for Standard Control Services Pricing**

The Information Guide for Standard Control Services sets out the basis upon which Ergon Energy’s Annual Revenue Requirement (ARR) for Standard Control Services is recovered from various customer groups through network tariffs. Accordingly, it includes details on the assignment of customers to tariff classes and network tariffs, a description of the network tariffs, and how the ARR is allocated to network tariffs and recovered from customers. It is therefore a “how to” guide for customers seeking to understand the relationship between the approved ARR and the network tariffs, and allows customers to readily understand how their network charges are calculated. This document will be published annually.

#### **1.4.2 Information Guide for Alternative Control Services Pricing**

The Information Guide for Alternative Control Services is also published annually. This Information Guide sets out the basis upon which Alternative Control Services pricing is set and approved by the AER, and sets out the basis of Quoted Services pricing including Large Customer Connections from 2010-11.

#### **1.4.3 Network Tariff Guide for Standard Control Services**

The Network Tariff Guide sets out Network Tariff Codes, application rules, and rates for each Network Tariff Code. It is used operationally by customers, retailers and consultants and applies to network users connected to Ergon Energy’s regulated distribution supply network. This document is updated (as required) and is also published annually.

#### **1.4.4 Price List for Alternative Control Services**

Ergon Energy also publishes a similar document to the Network Tariff Guide for Alternative Control Services entitled the “Price List for Alternative Control Services”. This document sets out the prices for Street Lighting Services, Fee Based Services and indicative prices for Quoted Services.

#### **1.4.5 Capital Contributions Policy**

Ergon Energy’s Capital Contributions Policy sets out circumstances in which a capital contribution may be required and details how Ergon Energy calculates the capital contribution to be paid when a customer applies for a connection to the distribution network.

The Capital Contributions Policy was approved by the QCA in 2005 and continues to be in force under the AER.

## **1.5 Application of this Pricing Proposal**

Ergon Energy has different tariff schedules for Standard Control Services and Alternative Control Services. Both are set out in the respective Network Tariff Guide and Price List and have been reproduced in **Appendix 1** (Standard Control Services) and **Appendix 3** (Alternative Control Services).

Unless otherwise specified, a reference to network tariffs refers to tariffs and tariff classes for Standard Control Services.

Where a section of this document applies to both customers and embedded generators the term “network user” is used. Where the term “customer” is used in a section of this document, that section applies to customers only. Where the term TUOS is used in a section of this document, it includes all designated pricing proposal charges incurred for transmission use of system services as defined in the Rules.

## **1.6 Further Information**

For customers seeking information about network tariffs, including tariff assignment, tariff codes, loss-factors and detailed information about operational issues relating to Standard and Alternative Control Services, the following documents should be used as primary references:

- Information Guide for Standard Control Services Pricing;
- Network Tariff Guide for Standard Control Services;
- Information Guide for Alternative Control Services Pricing;
- Price List for Alternative Control Services; and
- Ergon Energy’s Capital Contributions Policy.

These documents will be available on the Ergon Energy web site at:

[www.ergon.com.au/about-us/the-electricity-industry/electricity-distribution-pricing-methodologies/network-tariffs](http://www.ergon.com.au/about-us/the-electricity-industry/electricity-distribution-pricing-methodologies/network-tariffs)

Network users and retailers who are uncertain about the network pricing process or their particular circumstances are encouraged to contact us for assistance.

**Manager Regulatory Affairs – Tariff Strategy**

**P O Box 1090**

**TOWNSVILLE Q 4810**

**Ph 13 10 46**

**E-mail: [netprice@ergon.com.au](mailto:netprice@ergon.com.au)**

## 1.7 Overview of Compliance Obligations

The matters that must be satisfied by the publication of this Pricing Proposal are set out in section 6.18 of the Rules. These are set out in Table 1.1 below.

**Table 1.1 Compliance Obligations under the Rules**

| Rules Clause            | Compliance Obligations                                                                                                                                                                                                                                                                                     | Compliance                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|-------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 6.18.2(b)(1)            | The Pricing Proposal sets out each tariff class (including the classes of Alternative Control Services).                                                                                                                                                                                                   | Tariff classes are set out and justified in section 6.1 of this Pricing Proposal.                                                                                                                                                                                                                                                                                                                                                                                                           |
| 6.18.2(b)(2)            | The Pricing Proposal sets out the proposed tariffs for each tariff class.                                                                                                                                                                                                                                  | Tariff schedules for Standard Control and Alternative Control Services are set out in <a href="#">Appendix 1</a> and <a href="#">Appendix 3</a> of this Pricing Proposal.                                                                                                                                                                                                                                                                                                                   |
| 6.18.2(b)(3)            | The Pricing Proposal sets out the charging parameters and the elements of service to which each charging parameter relates.                                                                                                                                                                                | Details of the charging parameters and the elements of the service to which each relates are set out in section 2.2.6.                                                                                                                                                                                                                                                                                                                                                                      |
| 6.18.2(b)(4)            | The Pricing Proposal sets out the weighted average revenue for each tariff class related to Standard Control Services.                                                                                                                                                                                     | Weighted average revenue calculations for each Standard Control Services tariff class are set out in section 6.3.                                                                                                                                                                                                                                                                                                                                                                           |
| 6.18.2(b)(5)            | The Pricing Proposal sets out the nature of any variation or adjustment to the tariff that could occur during the course of the regulatory year and the basis on which it could occur.                                                                                                                     | Variations and adjustments are set out in section 6.10 of this Pricing Proposal.                                                                                                                                                                                                                                                                                                                                                                                                            |
| 6.18.2(b)(6) and 6.18.7 | The Pricing Proposal sets out how designated pricing proposal charges incurred by Distributors for Transmission Use of System (TUOS) services are to be passed through to customers and any adjustments to tariffs resulting from over or under recovery of those charges in the previous regulatory year. | The method of passing through designated pricing proposal charges (TUOS) to customers is set out in section 2.2.7 of this Pricing Proposal.                                                                                                                                                                                                                                                                                                                                                 |
| 6.18.2(b)(6A)           | The Pricing Proposal sets out how jurisdictional scheme amounts for each approved jurisdictional scheme are to be passed on to customers and any adjustments to tariffs resulting from the over or under recovery of those amounts.                                                                        | Ergon Energy is not yet operating under the jurisdictional scheme cost recovery provisions in Chapter 6 of the Rules which allow payments made by Ergon Energy under the Queensland Government Solar Bonus Scheme to be recovered through the annual pricing proposal process.<br><br>Ergon Energy's ARR for Standard Control Services includes an allowance for payments made by Ergon Energy under the Solar Bonus Scheme, in accordance with the AER's Final Distribution Determination. |
| 6.18.2(b)(6B)           | The Pricing Proposal describes how each approved jurisdictional scheme that has been amended since the last jurisdictional scheme approval date meets the jurisdictional scheme eligibility criteria.                                                                                                      | Ergon Energy is not yet operating under the jurisdictional scheme cost recovery provisions in Chapter 6 of the Rules.                                                                                                                                                                                                                                                                                                                                                                       |
| 6.18.2(b)(7)            | The Pricing Proposal sets out a method of reviewing and assessing the basis on which a customer is charged in accordance with Appendix B of the Final Distribution Determination.                                                                                                                          | Tariff assignment and the assessment and review of the basis of charge is dealt with in section 6.1 and 6.2 of this Pricing Proposal.                                                                                                                                                                                                                                                                                                                                                       |
| 6.18.2(b)(7)            | The Pricing Proposal sets out any unders/overs adjustment needed to move the balance of Distribution Use of System (DUOS) unders and overs account to zero (or agreed tolerance level) in accordance with Appendix D of the Final Distribution Determination.                                              | Unders/overs adjustments needed to move the balance of DUOS unders and overs account to zero is set out in section 6.16.2 of the Pricing Proposal.                                                                                                                                                                                                                                                                                                                                          |
| 6.18.2(b)(7)            | The Pricing Proposal sets out a record of the amount of revenues recovered from TUOS                                                                                                                                                                                                                       | Revenues recovered from TUOS charges and associated payments are set out in section                                                                                                                                                                                                                                                                                                                                                                                                         |

| Rules Clause                    | Compliance Obligations                                                                                                                                                                                                                                                                                                                                            | Compliance                                                                                                                                                                       |
|---------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                 | charges and associated payments in accordance with Appendix E of the Final Distribution Determination.                                                                                                                                                                                                                                                            | 2.2.7.4 of this Pricing Proposal.                                                                                                                                                |
| 6.18.2(b)(7)                    | The Pricing Proposal sets out proposed prices for Street Lighting Services in accordance with section 17.3.3 of the Final Distribution Determination.                                                                                                                                                                                                             | Prices for Street Lighting Services are set out in <a href="#">Appendix 3</a> and <a href="#">Appendix 5</a> of this Pricing Proposal.                                           |
| 6.18.2(b)(7)                    | The Pricing Proposal sets out revenue collected from Street Lighting Services in the proceeding regulatory year in accordance with section 17.3.3 of the Final Distribution Determination.                                                                                                                                                                        | Revenue recovered from Street Lighting Services are set out in section 6.13.                                                                                                     |
| 6.18.2(b)(7)                    | The Pricing Proposal sets out prices for Fee Based Services and examples of potential Quoted Services.                                                                                                                                                                                                                                                            | Prices for Quoted and Fee Based Services are set out in <a href="#">Appendix 3</a> and <a href="#">Appendix 5</a> of this Pricing Proposal.                                      |
| 6.18.2(b)(7)                    | The Pricing Proposal sets out quantitative information that demonstrates the calculation of prices for Quoted and Fee Based Services.                                                                                                                                                                                                                             | A quantitative demonstration of the calculation of Quoted and Fee Based Services are set out in <a href="#">Appendix 4</a> of this Pricing Proposal.                             |
| 6.18.2(b)(7)                    | The Pricing Proposal sets out the nature and extent of variation to individual formula components in accordance with section 18.3.5 of the Final Distribution Determination.                                                                                                                                                                                      | Variations to individual formula components for Quoted and Fee Based Services are set out in section 6.12.                                                                       |
| 6.18.2(b)(7)                    | The Pricing Proposal sets out the nature and extent of any changes to the methodology used to calculate individual formula components in accordance with section 18.3.5 of the Final Distribution Determination.                                                                                                                                                  | Changes to the methodology used to calculate individual formula components for Quoted and Fee Based Services are set out in section 6.12.                                        |
| 6.18.2(b)(7)                    | The Pricing Proposal sets out the AER's requirement to provide the volume of Fee Based and Quoted Services provided and the revenues recovered from the provision of Fee Based and Quoted Services as required by section 18.3.5 of the Final Distribution Determination.                                                                                         | Fee Based and Quoted Services provided and the revenues recovered from the provision of Fee Based and Quoted Services in 2008-9 are set out in section 6.13.                     |
| 6.18.2(b)(8)                    | The Pricing Proposal describes the nature and extent of change from the previous regulatory year and demonstrates that the changes comply with the Rules and any applicable Distribution Determination.                                                                                                                                                           | Variations and adjustments are set out in section 6.11 of this Pricing Proposal.                                                                                                 |
| 6.18.3(a)                       | The Pricing Proposal defines the tariff classes into which customers for Direct Control Services are divided.                                                                                                                                                                                                                                                     | Tariff classes applicable to customers for Direct Control Services are set out and justified in section 6.1 of this Pricing Proposal.                                            |
| 6.18.3(b)                       | The Pricing Proposal demonstrates that each customer for Direct Control Services is a member of at least one tariff class.                                                                                                                                                                                                                                        | Assignment of each customer to a tariff class is demonstrated in section 6.1.                                                                                                    |
| 6.18.3 (c)                      | The Pricing Proposal sets out separate tariff classes for Standard Control Services and Alternative Control Services.                                                                                                                                                                                                                                             | Tariff classes for Standard Control and Alternative Control Services are set out in section 6.1 of this Pricing Proposal.                                                        |
| 6.18.3(d)(1)                    | The Pricing Proposal demonstrates that tariff classes are formed based on groupings of customers on an economically efficient basis.                                                                                                                                                                                                                              | A description of how tariff classes group customers on an economically efficient basis is set out in section 6.1 of this Pricing Proposal.                                       |
| 6.18.3(d)(2)                    | The Pricing Proposal demonstrates that customers and tariffs are grouped into tariff classes with regard to the need to avoid unnecessary transaction costs.                                                                                                                                                                                                      | A description of how tariffs are grouped into tariff classes with regard to the need to avoid unnecessary transactions costs is set out in section 6.1 of this Pricing Proposal. |
| 6.18.4(a)(1)(i), (ii) and (iii) | The Pricing Proposal demonstrates that customers are assigned (or re-assigned) to tariff classes on the basis of the nature and extent of their usage and the nature of their connection to the network, and that Ergon Energy has regard to the metering installed at a customer's premises when deciding whether to group a tariff into a broader tariff class. | Tariff assignment is dealt with in sections 6.1 and 6.2 of this Pricing Proposal.                                                                                                |
| 6.18.4(a)(2)                    | The Pricing Proposal demonstrates that customers with a similar usage and connection                                                                                                                                                                                                                                                                              | Tariff assignment is dealt with in sections 6.1 and 6.2 of this Pricing Proposal.                                                                                                |

| Rules Clause             | Compliance Obligations                                                                                                                                                                                                                  | Compliance                                                                                                                             |
|--------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------|
|                          | profile are treated on an equal basis.                                                                                                                                                                                                  |                                                                                                                                        |
| 6.18.4(a)(3)             | The Pricing Proposal demonstrates that customers with micro-generation facilities are treated on a basis no less favourable to customers without such facilities.                                                                       | Tariff assignment is dealt with in sections 6.1 and 6.2 of this Pricing Proposal.                                                      |
| 6.18.4(a)(4)             | The Pricing Proposal demonstrates that customer assignment and reassignment to a tariff class does not occur in the absence of an effective system of assessment and review.                                                            | Tariff assignment is dealt with in sections 6.1 and 6.2 of this Pricing Proposal.                                                      |
| 6.18.4(b)                | The Pricing Proposal sets out the system of assessment and review of the basis on which a customer is charged, if the charging parameters for a tariff vary according to the customer's usage or load profile.                          | Tariff assignment and the assessment and review of the basis of charge is dealt with in sections 6.1 and 6.2 of this Pricing Proposal. |
| 6.18.5(a)(1) and (2)     | The Pricing Proposal demonstrates that revenue from a tariff class lies between the stand-alone and avoidable cost.                                                                                                                     | Stand-alone and avoidable cost assessments are provided in section 6.4 of this Pricing Proposal.                                       |
| 6.18.5(b)(1)             | The Pricing Proposal demonstrates that tariffs and charging parameters have regard for long run marginal cost.                                                                                                                          | Long run marginal cost is dealt with in section 6.5 of this Pricing Proposal.                                                          |
| 6.18.5(b)(2)(i)          | The Pricing Proposal demonstrates that tariffs and charging parameters have been determined having regard to the transaction costs associated with the tariff or each charging parameter.                                               | Tariffs and transaction costs are dealt with in section 6.6 of this Pricing Proposal.                                                  |
| 6.18.5(b)(2)(ii)         | The Pricing Proposal demonstrates that tariffs and charging parameters are set with regard to whether customers will respond to signals.                                                                                                | Tariffs and signals are dealt with in section 6.7 of this Pricing Proposal.                                                            |
| 6.18.5(c)                | The Pricing Proposal demonstrates that if tariffs do not recover the required revenue as a result of the operation of 6.18.5(b), that tariffs have been adjusted with minimum distortion.                                               | This is dealt with in section 6.8 of this Pricing Proposal.                                                                            |
| 6.18.6 (a) and (b)       | The Pricing Proposal demonstrates that the weighted average revenue for a Standard Control Service tariff class does not exceed that for the previous year by more than the "permissible percentage" defined in 6.18.6(c) of the Rules. | Side constraints are dealt with in section 6.9 of this Pricing Proposal.                                                               |
| 6.18.6(c)(1) and (2)     | The Pricing Proposal demonstrates the "permissible percentage" has been calculated in accordance with the definition set out in this clause of the Rules.                                                                               | Side constraints are dealt with in section 6.9 of this Pricing Proposal.                                                               |
| 6.18.6(d)(1),(2) and (3) | The Pricing Proposal demonstrates that designated pricing proposal charges (TUOS), pass-throughs and jurisdictional scheme amounts were removed from the calculation of the side constraint.                                            | Side constraints are dealt with in section 6.9 of this Pricing Proposal.                                                               |
| 6.18.6(e)                | The Pricing Proposal demonstrates that the side constraints have not impacted on the extent to which the tariffs for a customer with remotely read interval metering will vary according to usage.                                      | Side constraints are dealt with in section 6.9 of this Pricing Proposal.                                                               |
| 6.18.7(a)                | The Pricing Proposal demonstrates that tariffs pass on to customers the designated pricing proposal charges (TUOS) to be incurred by Ergon Energy for TUOS services.                                                                    | Designated pricing proposal charges (TUOS) passed on to customers are dealt with in section 2.2.7.                                     |
| 6.18.7(b)                | The Pricing Proposal demonstrates that the designated pricing proposal charges (TUOS) passed on to customers do not exceed the forecast charges adjusted for over or under recovery.                                                    | Designated pricing proposal charges (TUOS) passed on to customers are dealt with in section 2.2.7.4.                                   |
| 6.18.7(c)(1) and (2)     | The Pricing Proposal demonstrates that any designated pricing proposal charges (TUOS) over or under recovery is the difference                                                                                                          | Designated pricing proposal charges (TUOS) passed on to customers are dealt with in section 2.2.7.4 .                                  |

| Rules Clause               | Compliance Obligations                                                                                                                                                                                                                                                                                    | Compliance                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|----------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                            | between the amount actually paid and what was recovered from customers via TUOS charges.                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| 6.18.7 A (a), (b),(c),(c1) | The Pricing Proposal demonstrates that tariffs pass on to customers the jurisdictional scheme amounts to be incurred by Ergon Energy for approved jurisdictional schemes in accordance with 6.18.7A of the Rules.                                                                                         | Ergon Energy is not yet operating under the jurisdictional scheme cost recovery provisions in Chapter 6 of the Rules.                                                                                                                                                                                                                                                                                                                           |
| 6.18.8(a)(2)               | The Pricing Proposal demonstrates that all forecasts associated with the proposal are reasonable.                                                                                                                                                                                                         | Forecasts and the underlying rationale for estimated customer numbers, energy consumption and TUOS payments are dealt with in section 6.15.                                                                                                                                                                                                                                                                                                     |
| 6.18.9(a)(1)               | The Pricing Proposal demonstrates that tariffs classes and the tariffs applicable to each class are maintained on Ergon Energy's website.                                                                                                                                                                 | This Pricing Proposal will be published on Ergon Energy's website.                                                                                                                                                                                                                                                                                                                                                                              |
| 6.18.9(a)(2)               | The Pricing Proposal demonstrates that charging parameters are maintained on Ergon Energy's website.                                                                                                                                                                                                      | This Pricing Proposal will be published on Ergon Energy's website.                                                                                                                                                                                                                                                                                                                                                                              |
| 6.18.9(a)(3)               | The Pricing Proposal demonstrates that Ergon Energy maintain on its website a statement of expected price trends (to be updated each regulatory year) giving an indication of how it expects prices to change over the regulatory control period and the reasons for the expected changes.                | The expected price trends are set out in section 6.10. The Pricing Proposal will be published on Ergon Energy's website.                                                                                                                                                                                                                                                                                                                        |
| 6.18.9(b)                  | The Pricing Proposal demonstrates that the posting of information for a particular regulatory year must, if practicable, be posted on Ergon Energy's website 20 business days before the commencement of the relevant regulatory year and, if that is not practicable, as soon as practicable thereafter. | This Pricing Proposal will be published on Ergon Energy's website by the appropriate date. The Information Guide for Standard Control Services Pricing; Information Guide for Alternative Control Services Pricing, Network Tariff Guide for Standard Control Services, Price List for Alternative Control Services and Ergon Energy's Capital Contributions Policy as set out in section 1.4 will also be published on Ergon Energy's website. |

**Table 1.2 Australian Competition Tribunal Compliance Outcomes**

|                                      | Compliance Obligations                                                                                                                                                                                                                    | Compliance                                                                                                |
|--------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------|
| Tribunal Determination (Other Costs) | The Pricing Proposal sets out the AER's requirement to report on any departures from procurement processes and procedures in delivering Quoted Services that include Other Costs as required by the Tribunal Determination (Other Costs). | Departures from procurement processes and procedures are set out in section 6.14 of this Pricing Proposal |

## **2 Overview of Ergon Energy's Tariffs and Tariff Setting Process for Standard Control Services**

### **2.1 Overview of Ergon Energy's Network Tariffs for Standard Control Services**

Ergon Energy's network tariffs for Standard Control Services are based on geographical location, usage and size:

- Customers are assigned to geographical zones, depending on whether they are in the eastern, western, or Mount Isa Zone of Queensland; and
- Customers are then assigned to one of four customer groups, being Individually Calculated Customers (ICC), Connection Asset Customers (CAC), Standard Asset Customers (SAC) or Embedded Generators (EG). Unmetered loads such as street lights are treated as Standard Asset Customers.

Within these groups, tariffs and charging parameters are designed to send signals to customers about their usage and the demand they place on the network.

Furthermore, ICCs, CACs and EGs connected under the Alternative Control Services Large Customer Connection arrangements are only able to access post-30 June 2010 network tariffs. These network tariffs differ from those that apply to all other ICCs, CACs and EGs in that they no longer recover the cost of new dedicated connection assets. Dedicated connection assets for ICCs, CACs and EGs will be levied as an up-front payment, or will be constructed by customers and gifted to Ergon Energy.

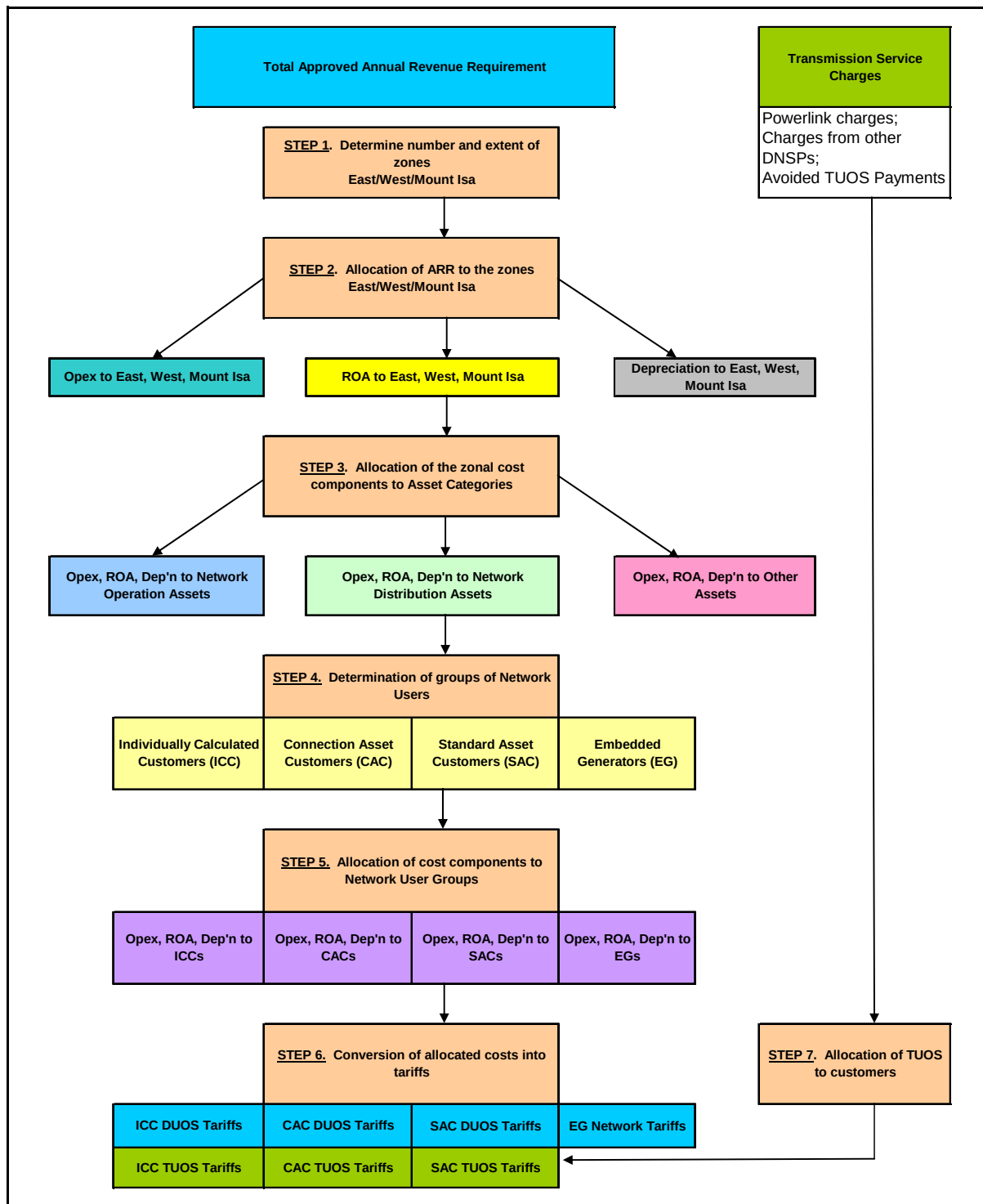
### **2.2 Development of Network Tariffs for Standard Control Services**

The development of Ergon Energy's network tariffs involves seven steps:

1. The establishment of zones where customers have similar cost of supply (where cross-subsidisation between the higher cost western networks and the lower cost eastern network is minimised);
2. The allocation of the ARR to zones;
3. The allocation of the zonal costs to the different asset categories within each zone;
4. The identification of network users of similar size or similar use of assets and their assignment to various network user groups;
5. The allocation of the costs within the zones to the network user groups;
6. The conversion of these allocated costs into network tariffs that recover those costs and are economically efficient; and
7. The allocation of TUOS to customers so as to preserve where possible the transmission pricing signals.

The network tariffs developed by Ergon Energy are cost reflective in that there is a direct relationship between the network tariff for the service and the costs of delivering that service, derived through the methodology described in this section and depicted in Figure 1 below. Further explanation of each of the seven steps is set out in the following sections.

**Figure 1: Network Tariff Development**



### 2.2.1 Step 1: Zone Determination

The first step of the overall network tariff development process is to determine the number and extent of the cost zones to be used for establishing network tariffs in the most efficient and cost reflective way.

Three pricing zones have been delineated in the Ergon Energy area of supply, broadly based on Local Government areas of Queensland, with the distribution network electrical connection being the final determinant of which zone applies. Zone pricing impacts DUOS prices only; TUOS prices are not impacted by zones. These zones are:

- (a) **The East Zone** - includes those areas where the network users are supplied from the distribution system connected to the national grid and have a relatively low distribution cost to supply;
- (b) **The West Zone** - includes those areas outside the East Zone and connected to the national grid, which have a significantly higher distribution cost of supply than the East Zone; and
- (c) **The Mount Isa Zone** - broadly defined as those areas supplied from the isolated Mount Isa system. This zone is not connected to the national grid and as such would normally be excluded from the application of the Rules. However under the *Electricity – National Scheme (Queensland) Act 1997* the Queensland Government has transferred responsibility for the economic regulation of the Mount Isa – Cloncurry supply network to the AER.

NOTE: areas supplied from isolated (remote) generation are **NOT** included in any of the above zones.

The East Zone consists of:

- The whole of the local government areas as follows:
  - o Regional Councils - Bundaberg, Cassowary Coast, Fraser Coast, Gladstone, Mackay, North Burnett, Rockhampton, South Burnett, Southern Downs, Toowoomba and Whitsunday;
  - o City Councils – Townsville; and
  - o Shire Councils – Banana, Burdekin, Hinchinbrook; and
- Part of the local government areas, being:
  - o Regional Councils - Gympie (Ergon Energy area only), Cairns (excluding areas north of the Daintree River), Isaac (excluding areas west of Moranbah township), Dalby (Dalby township and Wambo district only), Central Highlands (excluding Emerald and areas west of Emerald), Tablelands (excluding Herberton and Mareeba areas not supplied by the “East” distribution system).

The West Zone consists of:

- The whole of the local government areas as follows:
  - o Regional Councils - Barcaldine, Blackall-Tambo, Charters Towers, Longreach, Roma; and
  - o Shire Councils – Balonne, Bulloo, Carpentaria, Cook, Croyden, Etheridge, Flinders, McKinlay, Murweh, Paroo, Quilpie, Richmond, and Winton; and
- Part of the local government areas as follows,
  - o Regional Councils - Cairns (north of the Daintree River only), Isaac (west of Moranbah township only), Dalby (excluding Dalby township and Wambo district), Central Highlands (Emerald and areas west of Emerald only), Tablelands (Herberton and Mareeba areas not supplied by the East Zone distribution system only).

The Mount Isa Zone consists of the regulated network within the whole of the local government areas of the Cloncurry Shire Council, Mount Isa City Council, and those parts of the Burke and Boulia Shire Councils supplied from the Mount Isa system.

Maps for each zone can be found in the Network Tariff Guide for Standard Control Services.

The determination of zones is based on a combination of:

- A comparison of the distances the customers are from a transmission connection point (the further from the connection point the more distribution assets required);
- Minimising cross-subsidisation between the higher cost less populated western networks, and the lower cost more heavily populated eastern networks (the further the distance and lower the population density the more expensive the assets and higher the cost to supply);
- Identifying those geographic areas which have a similar cost to supply (remote areas of western and far northern Queensland compared with the higher density eastern areas);
- Simplicity for customers and retailers to understand; and
- Identifying a logical "break point" in the electrical supply network (open points in the distribution system that separate different areas of supply).

## **2.2.2 Step 2: Allocation of the ARR to Zones**

The second step in the network tariff development process is to allocate the ARR to each of the three zones. The ARR comprises the building block components Return on Assets (ROA), depreciation, operating expenditure (opex) and tax allowance, together with revenue adjustments made up of unders and overs adjustments, adjustments resulting from the AER's smoothing of the ARR, adjustments for out-turn inflation, Service Target Performance Incentive Scheme (STPIS) adjustments, capital contributions and pass through adjustments.

Tax allowance and revenue cap adjustments, except for capital contributions, are pro-rated across the building block cost components of ROA, depreciation and opex based on each building block's share of the total ARR. Capital contributions adjustments are allocated directly to the tariff classes to which they are attributable.

The final composite building block cost components are allocated to each of the three zones by apportioning each component using the following cost drivers:

- Opex – allocated on asset values, customer numbers and energy usage;
- ROA – allocated on asset values; and
- Depreciation – allocated on asset values.

Where networks in the West Zone are supplied by shared network systems in the East Zone, the appropriate allocators are used to apportion a share of the cost to both zones.

### **2.2.3 Step 3: Allocation of the Zonal Costs to Asset Categories**

The third step of the network tariff development process is to apportion the zone costs to the different asset categories within each zone. This takes place within Ergon Energy's tariff development model, the Distribution Cost of Supply (DCOS) Model.

The asset categories are:

- Network Operation Assets - system assets associated with monitoring and controlling the distribution network from the operational control centres.
- Network Distribution Assets - system assets employed in the provision of network connection and distribution services. These assets are further categorised by voltage level as follows:
  - o 110/132 kV;
  - o 66 kV Bus;
  - o 66 kV Line;
  - o 33 kV Bus;
  - o 33 kV Line;
  - o 22/11 kV Bus;
  - o 22/11 kV Line;
  - o Low Voltage;
  - o Services (Low Voltage only); and
  - o Meters & Relays.
- Other Assets - non-system assets (e.g. vehicles, computers, buildings etc.).

#### **2.2.3.1 Subdivision of Cost Components**

The building block costs by zone are then allocated to the asset categories as follows.

#### **2.2.3.1.1 Operating Expenditure**

To ensure costs are allocated to network users as cost reflectively as possible, the opex “building block” is separated into three cost components:

(a) Network Operating costs are:

- Associated with monitoring and controlling the distribution network from the operational control centres;
- Not directly related to any single customer or group of customers;
- Allocated directly to the customers based on energy usage; and
- Not applicable to embedded generators.

(b) Network Maintenance costs are:

- Associated with the repair and maintenance of the distribution network within the categories Preventive, Corrective and Forced Maintenance; and
- Allocated to the voltage level asset categories based on asset values.

(c) Other Asset Operating costs are:

- The summation of the non-system based costs (e.g. corporate shared costs (overheads), customer services, computer systems, human resources, etc);
- Treated as a group as it is impractical to manage a cost allocation process for each of the specific components; and
- Allocated directly to the network users based on hybrid allocation of network user numbers and energy usage, and applied to all network users.

#### **2.2.3.1.2 Return on Assets**

The return on assets component is allocated to the asset categories as follows:

(a) Network Operation Assets ROA is:

- Allocated to the network operations asset categories on the basis of asset values.

(b) Network Distribution Assets ROA is:

- Allocated to the voltage level asset categories on the basis of asset values.

(c) Other Assets ROA is:

- Allocated to the other asset categories on the basis of asset values.

### **2.2.3.1.3 Depreciation**

The depreciation allowance is allocated to the asset categories as follows:

(a) Network Operation Assets Depreciation is:

- Allocated to the network operation asset categories on the basis of asset values.

(b) Network Distribution Assets Depreciation is:

- Allocated to the voltage level asset categories on the basis of asset values.

(c) Other Assets Depreciation is:

- Allocated to the other asset categories on the basis of asset values.

## **2.2.4 Step 4: Determination of Groups of Network Users**

In this fourth step it is necessary to determine the groups of network users that will be used to recover Ergon Energy's ARR for Standard Control Services.

Generally customer groups are defined by their end use, for example, domestic, industrial, commercial, etc. However, network costs are driven by how and when customers use electricity rather than for what it is used.

To provide the appropriate economic and cost of supply signals, four major groups of customers have been established (with multiple tariff classes within these groups). These are:

- ICC;
- CAC;
- SAC; and
- EG.

The purpose of the above four groups is to enable network tariffs to be developed that provide individual or direct cost of supply signals to those network users where possible while recognising that it is not possible to price every network user individually. There is a trade-off at the distribution level between the complexity of individual price calculation and the inefficiencies created through price averaging. A practical limit also arises in the number of site specific network tariffs that can feasibly be determined and administered.

A description of the four major customer groups and their tariff classes are as follows:

### **2.2.4.1 Individually Calculated Customers**

ICCs are those customers:

- With energy consumption typically greater than 40 GWh per annum; or
- With energy consumption lower than 40 GWh per annum where:

- o A customer has a dedicated supply system which is quite different and separate from the remainder of the supply network;
- o There are only two or three customers in a supply system making average prices inappropriate;
- o A customer is connected at or close to a transmission connection point; or
- o Inequitable treatment of otherwise comparable customers arising from the 40 GWh threshold.

ICC network tariffs are based on:

- The actual dedicated connection assets utilised by the customer;
- The customer's specifically identified portion of any shared distribution network utilised for the electricity supply;
- Whether the customer is subject to the pre or post 30 June 2010 arrangements for Large Customer Connections; and
- Whether the customer is located in the East, West or Mount Isa Zone of Ergon Energy's network.

#### **2.2.4.2 Connection Asset Customers**

CACs are those customers:

- With required capacity above 1,500kVA;
- With energy consumption typically greater than 4 GWh per annum; or
- With required capacity below 1,500kVA where:
  - o A customer has a dedicated supply system which is quite different and separate from the remainder of the supply network; or
  - o Inequitable treatment of otherwise comparable customers arising from the 4 GWh threshold.

CAC network tariffs are based on:

- The actual dedicated connection assets utilised by the customer;
- Average charges for use of the shared network;
- Whether the customer is subject to the pre or post 30 June 2010 arrangements for Large Customer Connections; and
- Whether the customer is located in the East, West or Mount Isa Zone of Ergon Energy's network.

The CAC group is further subdivided into categories based on voltage levels as follows:

- 66kV - connected to either a 66kV substation or a 66kV line;

- 33kV - connected to either a 33kV substation or a 33kV line;
- 22/11kVBus - connected to either a 22kV or 11kV substation; and
- 22/11kVLine - connected to either a 22kV or 11kV line.

#### **2.2.4.3 Standard Asset Customers**

All other load customers are classified as SACs.

SAC network tariffs are based on:

- Average charges for dedicated connection assets;
- Average charges for use of the shared network;
- The locality of the customer – East, West or Mount Isa Zone;
- Whether the customer's consumption is above or below 100 MWh per annum; and
- Whether the customer's connection is metered or unmetered.

The categories of network tariffs used in the SAC group are:

- Demand High Voltage – any high voltage metered customer - 400kW minimum chargeable demand;
- Demand Large – 400kW minimum chargeable demand;
- Demand Medium – 120kW minimum chargeable demand;
- Demand Small – 30kW minimum chargeable demand;
- Volume Large – energy consumption typically greater than or equal to 26 MWh per annum but less than 100MWh per annum;
- Volume Small – energy consumption typically less than 26 MWh per annum;
- Volume Controlled – Controlled Supply - for those loads that can have the supply controlled by Ergon Energy for some periods each day (e.g. hot water, air-conditioning, pool pumps, etc);
- Volume Night – Controlled – Night Rate Supply - for those loads where supply is generally available for a limited number of hours each night (e.g. storage hot water); and
- Volume Unmetered – Unmetered Supply - for small uniform loads as approved by Ergon Energy. This includes the provision of energy to street lights.

#### **2.2.4.4 Embedded Generators**

The EG group comprises generators connected to the distribution system. Network tariffs for EGs are based on:

- EGs are separated into two categories:
  - EGs that are connected to the distribution system and only generate into the distribution system – these network tariffs are based on identifying the actual dedicated connection assets utilised by the generator; or
  - EGs that are connected to the distribution system, generate and take load from the system:
    - o The generator side of the EG's network tariffs are based on identifying the actual dedicated connection assets utilised by the generator; and
    - o The load side of the EG's network tariffs are based on identifying the actual dedicated and shared connection assets utilised by the load, depending on the user group allocated (ICC, CAC or SAC);
- All EG network tariffs are based on whether the customer is subject to the pre or post 30 June 2010 arrangements for Large Customer Connections; and
- The locality of the customer – East, West or Mount Isa Zone.

## **2.2.5 Step 5: Allocation of the Costs within the Zones to the Network User Groups**

The fifth step of the overall network tariff development process is to allocate or assign the costs to the network user groups in the most efficient and cost reflective way.

### **2.2.5.1 Allocation of Costs to ICCs**

For each ICC:

- Network Operation Asset costs (i.e. the ROA, depreciation and opex) are allocated on the basis of each ICC's energy consumption;
- Network Distribution Asset costs (i.e. ROA, depreciation and opex) for both dedicated connection assets and shared assets are allocated as follows:
  - The costs are broken down by voltage level asset category and allocated to each ICC separately based on the proportion of the ICC's replacement cost for that asset category to the whole-of-network replacement cost for that asset category;
  - The costs allocated to each ICC by voltage level asset category are summed to give the total cost for each ICC.
- Other Assets costs (i.e. ROA, depreciation and opex) are fixed for each ICC and are calculated based on the equal sharing of the total other asset costs to be allocated to all ICCs, which is in turn based on the proportion of ICC customer numbers to total customer numbers, and the proportion of ICC energy consumption to the total energy consumption of all customers.

### **2.2.5.2 Allocation of Costs to CACs**

For each CAC:

- Network Operation Asset costs (i.e. the ROA, depreciation and opex) are allocated on the basis of each CAC's energy consumption;
- Network Distribution Asset costs (i.e. ROA, depreciation and opex) for both dedicated connection assets and shared assets are allocated as follows:
  - For dedicated assets, costs are broken down by voltage level asset category and allocated to each CAC separately based on the proportion of the CAC's replacement cost for that asset category to the whole-of-network replacement cost for that asset category;
  - For shared assets, costs are broken down by voltage level asset category and allocated to each CAC separately based on the proportion of each CAC's kW demand to the kW demand for that asset category; and
  - The costs allocated to each CAC by voltage level asset category are summed to give the total cost for each CAC.
- Other assets costs have both a fixed and variable component with each component allocated 50% of each CAC's total other asset costs. The variable component is allocated to each CAC on the basis of each CAC's energy consumption.

#### **2.2.5.3 Allocation of Costs to Embedded Generators**

Costs are allocated to each EG in the same manner as for CACs. However no Network Operation Asset costs are allocated to EGs.

#### **2.2.5.4 Allocation of Costs to SACs**

Unlike ICCs, CACs and EG, costs are not allocated directly to individual SACs. Rather they are allocated to SAC network tariff categories according to the following process:

- The connection asset costs for each SAC network tariff category are calculated for each asset category utilised by the SAC network tariff category based on the replacement cost of those assets;
- The shared network costs for each SAC network tariff category are allocated based on the Any Time Maximum Demand (ATMD) of that SAC network tariff category;
- Network Operation Asset costs are allocated to each SAC network tariff category on the basis of energy consumption; and
- Other Assets costs are allocated to each SAC network tariff category on the basis of both customer numbers and energy consumption.

### **2.2.6 Step 6: Conversion of the Allocated Costs into Distribution System Tariffs**

The sixth step in the development of network tariffs is the conversion of the allocated costs for network users to network tariffs.

The network tariffs comprise a number of charging parameters, each selected and structured to provide signals to network users about the efficient use of the network and the impact of their usage on future network capacity and costs.

In developing network tariffs, Ergon Energy has sought to have the charging parameters signal the impact that the network users will have on the network, whilst:

- Managing the demand and volume variance risk;
- Minimising zonal boundary issues between and within network user groups; and
- Avoiding any signals that may result in perverse outcomes.

#### **2.2.6.1 Fixed Charges**

The fixed charge is intended to reflect the incremental costs that arise from the connection and management of the network user. This sends a clear signal to the network user about the economic value of the dedicated connection assets. Network users can manage these costs by ensuring that the dedicated connection assets installed match their load and reliability requirement. For SACs <100 MWh the fixed charge also recovers a portion of the shared network costs.

#### **2.2.6.2 Capacity and Actual Demand Charges**

Shared network costs for ICCs, CACs and SACs >100 MWh are recovered through the capacity charge and/or actual demand charge components. These charges provide the economic signals to the customers on the existing and future use of the shared network on the basis that customers who place greater pressure on the system incur higher charges.

The demand used for the calculation of the capacity charge is the authorised demand, or if no authorised demand, the annual maximum demand in the previous full pricing period prior to the setting of prices. Under certain circumstances, where there has been a significant change in demand attributable to a network user's load change after this previous pricing period, a more recent demand may be substituted.

The demand used for the calculation of the actual demand charge is the annual average demand, i.e. the average of the monthly maximum demands in the previous full pricing period prior to the setting of prices. Under certain circumstances, where there has been a significant change in demand attributable to a network user's load change after this previous pricing period, a more recent average demand may be substituted.

The capacity charge applies to ICC and CAC network users only. For SACs >100 MWh a minimum chargeable actual demand charge applies instead of a capacity charge.

SACs <100 MWh do not have either a capacity charge or an actual demand charge. The shared network component for these customers is recovered through a combination of the fixed charge and the volume charge.

#### **2.2.6.3 Volume Charges**

The volume charge is used to recover Network Operation Asset costs and a portion of the Other Assets costs not recovered in the fixed charge. For SACs <100 MWh, the volume charge also recovers a portion of the shared network costs not included in the

fixed charge. The volume charge applies to the energy (kWh) metered at the customer's installation.

## **2.2.7 Step 7: Allocation of Designated Pricing Proposal Charges Incurred for the TUOS Services to Customers**

Clause 6.18.7(a) of the Rules requires Ergon Energy's Pricing Proposal to provide for tariffs designed to pass on to customers the designated pricing proposal charges to be incurred for TUOS services.

Designated pricing proposal charges include:

- (a) charges for prescribed exit services, prescribed common transmission services and prescribed TUOS services. These charges are billed to Ergon Energy by the Queensland TNSP, Powerlink;
- (b) avoided customer TUOS charges;
- (c) charges for distribution services provided by another DNSP; and
- (d) charges or payments specified in Clause 11.39 of the Rules which include:
  - (i) charges levied on Ergon Energy for use of the 220kV network which supplies the Cloncurry network; and
  - (ii) entry and exit services charged by Powerlink at 4 connection points - Queensland Nickel, Stoney Creek, Kings Creek and Oakey Town.

This means that the Rules provide for Ergon Energy to recover costs related to the payments of TUOS to Powerlink, Avoided TUOS payments to EGs and payments to other DNSPs for the use of their network. This means that any designated pricing proposal charges incurred by Ergon Energy will be regarded as TUOS for the purposes of this Pricing Proposal.

The allocation of TUOS charges to customers in the formation of tariffs is the seventh step in the pricing process. This is undertaken on the basis shown below.

### **2.2.7.1 Allocation of Powerlink Charges**

Powerlink's charges are allocated on the basis that customers who are able to respond to a TUOS signal should receive that signal. Ergon Energy's network tariff calculation process passes through Powerlink charges as cost reflectively as possible. Powerlink charge Ergon Energy at an aggregated level by transmission connection point which means that Ergon Energy needs to devise a methodology to apportion the various components of the Powerlink charges to customers.

The TUOS charges charged to Ergon Energy by Powerlink at each transmission connection point have five components:

- Connection Price (\$ per month);
- Usage Capacity Price (\$ per kW of Nominated Demand per month);
- Usage Energy Price (cents per kWh);

- General Energy Price (cents per kWh); and
- Common Service Energy Price (cents per kWh).

These charges are apportioned by Ergon Energy to customers and/or customer groups on the basis of forecast ATMD with respect to connection price and usage capacity price and apportioned on the basis of forecast energy for the remaining components.

For ICCs and CACs Ergon Energy has a number of regional centres where a meshed distribution network sits below the transmission network meaning that customers can be supplied from different connection points depending on switching arrangements. A weighted average methodology is applied for each of these locations so that all customers who are supplied via a regional meshed network have the same TUOS rates.

For SACs >100 MWh and <100 MWh, there are a large number of locational TUOS rates which vary from region to region. The TUOS rates within each geographical region are combined in order to simplify and provide clear TUOS locational signals for these smaller customers.

#### **2.2.7.2 Network Charges from Other DNSPs**

In the Toowoomba area, Ergon Energy utilises network services from the other Queensland DNSP, ENERGEX, to supply a small group of customers that cannot be economically supplied from the Ergon Energy distribution system. ENERGEX bills Ergon Energy a network service charge for these network services. Additionally in the Mount Isa Zone, Ergon Energy is charged for the use of the unregulated 220kV network which supplies the Cloncurry township.

These costs are recovered by Ergon Energy as part of the TUOS charges passed through to customers.

#### **2.2.7.3 Avoided TUOS Payments**

Where Ergon Energy is liable for an Avoided TUOS payment to an EG, the payment amount is recovered by Ergon Energy as part of the TUOS charges passed through to customers at the same connection point as the EG.

#### **2.2.7.4 Recovery of Designated Pricing Proposal Charges Incurred for TUOS**

Clause 6.18.7(b) of the Rules requires that the amount to be passed on to customers for a particular regulatory year must not exceed the estimated amount of the designated pricing proposal (TUOS) charges for the relevant regulatory year adjusted for any over or under recovery.

Furthermore, Clause 6.18.7(c) of the Rules states that:

*The over and under recovery amount must be calculated in a way that:*

- (1) *is consistent with the method determined by the AER in the relevant distribution determination for the Distribution Network Service Provider; and*
- (2) *ensures a Distribution Network Service Provider is able to recover from customers no more and no less than the designated pricing proposal charges it incurs; and*

- (3) *adjusts for an appropriate cost of capital that is consistent with the rate of return used in the relevant distribution determination for the relevant regulatory year.*

Appendix E of the AER's Final Distribution Determination set out the requirements that Ergon Energy must comply with under Clause 6.18.7 of the Rules.

Ergon Energy ensures that any difference between TUOS revenue recovered from customers and the actual TUOS and related costs paid by Ergon Energy is offset by an annual unders and overs process. Under these arrangements there is a two year lag between the year in which the under-recovery or over-recovery occurs and the year in which the adjustment to the expected TUOS revenue to be recovered is made.

During 2009-10 there was a \$3.1 million (2009-10 dollars) over recovery of TUOS revenue (as set out in the table below). Consequently, Ergon Energy will reduce the TUOS revenue to be recovered from customers in 2011-12 by \$3.7 million (in 2011-12 dollars).

Table 2.1 below satisfies the requirements of Appendix E of the AER's Final Distribution Determination and hence clause 6.18.7 of the Rules.

Appendix 2 sets out the calculation of the TUOS unders/overs account.

**Table 2.1: Calculation of TUOS Unders and Overs Account (\$'000)**

|                                                                   | 2009-10          | 2011-12          |
|-------------------------------------------------------------------|------------------|------------------|
|                                                                   | Actual           | Forecast         |
| <b>Revenue from TUOS charges</b>                                  | <b>\$235,222</b> | <b>\$307,535</b> |
| Less under/over adjustment approved by the regulator for year t-2 | (\$1,600)        | n/a              |
| <b>Less total transmission related payments</b>                   | <b>\$230,500</b> | <b>\$311,251</b> |
| Transmission charges to be paid to TNSPs                          | \$225,558        | \$303,098        |
| Avoided TUOS payment to EGs                                       | \$2,899          | \$4,174          |
| Payment to Other DNSPs                                            | \$2,042          | \$3,979          |
| <b>Over / (Under) Recovery</b>                                    | <b>\$3,122</b>   | <b>(\$3,717)</b> |
| <b>Overs and Unders Account</b>                                   |                  |                  |
| Nominal WACC - as determined by QCA for 2009-10                   | 8.50%            | n/a              |
| Nominal WACC - as determined by AER for 2010-11                   | 9.72%            |                  |
| Opening balance                                                   | \$0              | \$3,717          |
| Under / over recovery for regulatory year 2009-10                 | \$3,122          | (\$3,717)        |
| Interest on under / over recovery for regulatory year 2009-10     | \$265            | n/a              |
| Subtotal - Under/over plus interest                               | \$3,388          |                  |
| Interest on under / over recovery for regulatory year 2010-11     | \$329            |                  |
| <b>Closing Balance</b>                                            | <b>\$3,717</b>   | <b>\$0</b>       |

## 2.2.8 Cost Allocation for Post 30 June 2010 Tariffs

There will be no allocation of ROA and depreciation associated with dedicated connection assets for those ICCs, CACs and EGs connected under the Large Customer Connection arrangements that apply from 30 June 2010. As set out in Section 2.1, these customers are only able to access the new post 30 June 2010 network tariffs. The cost of new or augmented dedicated connection assets will be recovered from customers as an upfront payment or alternatively assets will be gifted to Ergon Energy following construction by customers.

## **2.3 Network Tariff Structures**

### **2.3.1 ICC Customers**

Network tariffs incorporate customer specific charges for each of the following charging parameters:

- A Fixed Charge (\$/day);
- A Capacity Charge (\$/kW of Authorised Demand (AD)/month);
- An Actual Demand Charge (\$/kW/month); and
- A Volume Charge (\$/kWh).

### **2.3.2 CAC Customers**

Network tariffs incorporate customer specific charges for the fixed charge parameter and an average for each voltage category for the other charging parameters as follows:

- A Fixed Charge (\$/day);
- A Capacity Charge (\$/kW of AD/month);
- An Actual Demand Charge (\$/kW/month); and
- A Volume Charge (\$/kWh).

### **2.3.3 SAC >100 MWh Customers**

Network tariffs incorporate average charges for each of the following:

- A Fixed Charge (\$/day);
- An Actual Demand Charge (\$/kW/month); and
- A Volume Charge (\$/kWh).

### **2.3.4 SAC <100 MWh Customers**

Network tariffs incorporate average charges for each of the following:

- A Fixed Charge (\$/day); and
- A Volume Charge (\$/kWh).

### **2.3.5 Embedded Generators**

For those EGs that only generate into the distribution system a Fixed Charge (\$/day) network tariff applies.

### **2.3.6 Customers which are both Load Customers and Embedded Generators**

For those sites that generate into and take load from the distribution system, network tariffs are based on:

- A Fixed Charge (\$/day) for the generator output to the distribution system; and
- Whether a customer is an ICC, CAC or SAC for load taken from the distribution system. The applicable network tariffs will then apply.

## **3 Tariff Schedules: Standard Control Services**

Appendix 1 sets out the tariffs that comprise each Standard Control Service tariff class and the charging parameters that make up each tariff.

## 4 Overview of Ergon Energy's Tariffs and Tariff Setting Process for Alternative Control Services

### 4.1 Overview of Ergon Energy's Tariffs for Fee Based and Quoted Services

Apart from Street Lighting Services, Ergon Energy provides two types of Alternative Control Services. These are:

- Fee Based Services – where the costs of providing a service, and therefore a price, can be assessed in advance of the service being requested by a customer; and
- Quoted Services – these are one-off activities, such as repairing damage to Ergon Energy's assets or asset based services undertaken at the request of a customer, that Ergon Energy undertakes and recovers costs directly from customers who utilise the service. The nature and scope of these services are specific to individual retailer's or customer's needs, and therefore the cost of providing the services cannot be estimated without first understanding the retailer's or customer's requirements. This means that Ergon Energy must set individual prices for these services after they have been requested, and it is not possible to set a generic price in advance for the provision of these types of services.

The tariffs for both types of services are specific to the service that is being requested, and are payable on a per service basis. For example, Fee Based Services include de-energisations, re-energisations, supply abolishment and temporary builders supply services. Examples of Quoted Services include Large Customer Connection services, provision of emergency recoverable works, and removal or relocation of Ergon Energy's assets at a customer's request.

### 4.2 Tariff Setting Process for Fee Based and Quoted Services

#### 4.2.1 Fee Based Services

In accordance with section 18.4 of the AER's Final Distribution Determination, Ergon Energy will apply the following formula when calculating the tariffs to be levied for its **Fee Based Services**.

$$P_i = L_i + M_i + CA_i + GST_i$$

Where:

$L_i$  = the cost of labour involved in the delivery of the service, calculated as the product of an hourly rate (inclusive of on-costs and shared costs (overheads)) and the time spent by the personnel involved. The amount of time includes both travel time and the time spent delivering the service.

$M_i$  = the cost of non-capitalised materials expensed in the delivery of the service (inclusive of overheads).

CAi = reflects the use of non-system physical assets owned by Ergon Energy involved in the delivery of the service. This charge reflects the ROA and depreciation of those assets employed in the delivery of the service (e.g. trucks and IT systems).

GST = the Goods and Services Tax component of the service charge.

The AER requires Ergon Energy to recalculate its labour and material escalators and overheads in each year of the regulatory control period. Quantitative and qualitative information is provided in the Pricing Proposal where changes have been proposed to the approved escalators and overheads. This information is set out in section 6.12 of this Pricing Proposal.

Ergon Energy's 2011-12 tariffs for its Fee Based Services are set out in section 5. The calculation of Ergon Energy's Fee Based prices are set out in (confidential) **Appendix 4**.

## 4.2.2 Quoted Services

In accordance with the Tribunal's Determination made on 19 May 2011, Ergon Energy will apply the following formula when calculating the tariffs to be levied for its **Quoted Services**.

$$P_i = L_i + M_i + OC_i + CA_i + GST_i$$

Where:

$L_i$  = the cost of labour involved in the delivery of the service, calculated as the product of an hourly rate (inclusive of on-costs and shared costs (overheads)) and the time spent by the personnel involved. The amount of time includes both travel time and the time spent delivering the service.

$M_i$  = the cost of non-capitalised materials expensed in the delivery of the service (inclusive of overheads). For large new customer connection services, this could include large scale capital items which are charged directly to customers.

$OC_i$  = is other one off costs (inclusive of overheads) relating to the delivery of the service, including:

- (a) the hire or supply of assets and equipment;
- (b) the supply of services such as contractors and external labour; and
- (c) the cost of permits.

Other Costs are to be charged to customers at their cost to Ergon Energy plus overheads.

CAi = reflects the use of non-system physical assets owned by Ergon Energy involved in the delivery of the service. This charge reflects the ROA and depreciation of those assets employed in the delivery of the service (e.g. trucks and IT systems).

GST = the Goods and Services Tax component of the service charge.

The AER requires Ergon Energy to recalculate its labour and material escalators and overheads in each year of the regulatory control period. Quantitative and qualitative

information is provided in the Pricing Proposal where changes have been proposed to the approved escalators and overheads. This information is set out in section 6.12 of this Pricing Proposal.

Ergon Energy's 2011-12 tariffs for examples of Quoted Services are set out in section 5. The calculation of Ergon Energy's Quoted Services prices is set out in (confidential) Appendix 4.

## **4.3 Queensland Government caps on Fee Based and Quoted Services**

### **4.3.1 Background**

The Queensland Government has set maximum price caps to apply to a significant subset of Ergon Energy's Fee Based and Quoted Services through Schedule 8 of the *Electricity Regulation 2006*. Because the price caps are imposed through legislation, they take precedence over the prices approved by the AER. This means that Ergon Energy cannot recover its full costs of providing these services.

Furthermore, the Queensland Government has not established a mechanism by which the capped prices for these Services may be revised annually to reflect actual costs.

### **4.3.2 Maximum Price Caps for the 2010-15 Regulatory Control Period**

Ergon Energy anticipates that the maximum price caps will continue to impact Ergon Energy's ability to effectively recover the costs of providing some Quoted and Fee Based Services. Under the regulatory framework in place for the 2010-15 regulatory control period, the shortfall in revenue for the services subject to the maximum price cap cannot be recovered by increasing network tariffs or prices for other Alternative Control Services. As a result, the shortfall is borne by Ergon Energy.

## **4.4 Tariff Setting Process for Street Lighting Services**

In its Framework and Approach Stage 1, the AER indicated that it intended to apply a limited building block approach to determine the efficient costs of providing Street Lighting Services under a price cap control mechanism in the first year of the regulatory control period and establish a price path for remaining years of the period.

Ergon Energy has three Street Lighting Services:

- Street Lighting Service 1 - Provision of new street lighting assets;
- Street Lighting Service 2 - Operation, repair, replacement and maintenance of street lighting assets; and
- Street Lighting Service 3 - Alteration and relocation of existing street lighting assets.

Street Lighting Service 3 is a Quoted Service and therefore will be treated in accordance with section 4.2 of this Pricing Proposal.

Street Lighting Services 1 and 2 have been developed on a limited building block approach which includes the ROA, depreciation and opex expenditure and tax allowance

for all street lights installed prior to 30 June 2010, and new street lights forecast to be installed by or gifted to Ergon Energy after 30 June 2010.

Based on the approved ARR for Street Lighting, Ergon Energy calculated a daily charge (in dollars per light per day) for “Major” and “Minor” street lights within each of the East, West and Mount Isa zones based on:

- The number of “Major” and “Minor” street lights within each zone; and
- The asset values of “Major” and “Minor” street lights.

Street lights owned and maintained by Ergon Energy are distinguished between Minor and Major, on the following basis:

- **Minor street lights:** Ergon Energy standard minor street lights are 50, 80 and 125 watt Mercury Vapour, 70 watt High Pressure Sodium vapour lights, and compact fluorescent lights of similar luminescence and include any other non standard or obsolete street lights that would be replaced with any of the above Ergon Energy standard minor street lights in accordance with Ergon Energy policy; and
- **Major street lights:** Ergon Energy standard major street lights are 100, 150, 250 and 400 watt High Pressure Sodium vapour lights and include any other non standard or obsolete street lights that would be replaced with any of the above Ergon Energy standard major street lights in accordance with Ergon Energy policy.

Ergon Energy uses the following methodology to calculate Street Lighting tariffs:

1. The asset values for “Major” and “Minor” street lights are multiplied by the number of “Major” and “Minor” street lights (respectively) in each zone (East, West and Mount Isa), and the result summed to obtain a total asset value of all of Ergon Energy’s street lights;
2. The proportion of the asset value of “Major” and “Minor” street lights within each zone is obtained by calculating the asset value of “Major” and “Minor” street lights within each zone, and dividing by the total asset value of all of Ergon Energy’s street lights;
3. The proportion of the value of major and minor street lights within each zone is then used to pro-rata the Street Lighting ARR by major and minor lights by zone; and
4. The pro-rated Street Lighting ARR by major and minor lights for each zone is then converted to a \$/day tariff for each street light type in each zone.

This approach ensures that costs are allocated in a cost-reflective manner to each of the street light types.

In accordance with the AER’s Final Distribution Determination, Ergon Energy has established a methodology for determining whether a contribution is payable towards the costs of construction of a new street light. Where a non-standard street lighting asset has been requested by a customer, the incremental cost difference between the standard and non standard asset will be charged using the Quoted Services formula. A non standard street lighting asset is one where the cost of the service is not fully recovered through Ergon Energy’s annual prices. The incremental cost will be

calculated as the shortfall between the present value of expected revenue paid by the customer at the \$/day tariff over the life of a standard street lighting asset and the estimated cost of providing the non standard street lighting asset determined under the Quoted Services formula.

## 5 Tariff Schedules – Alternative Control Services

Appendix 3 sets out the Alternative Control Services Tariffs. As required by the AER's Final Distribution Determination, this document sets out the prices for Fee Based Services and Street Lighting Services for 2011-12. It also sets out examples of potential prices for Quoted Services.

In relation to each Quoted Service, it is important to note that the prices set out in Appendix 3 are examples of potential prices for Quoted Services. This is because the actual prices for Quoted Services will be determined at the time of the customer's enquiry and will reflect that actual requirements of the service.

## **6 Compliance with Regulatory Obligations**

### **6.1 Ergon Energy's Tariff Classes**

Clause 6.18.2(b)(1) of the Rules requires that a Pricing Proposal must set out the tariff classes that are to apply for the relevant regulatory year.

Clause 6.18.3(a) of the Rules requires that a Pricing Proposal must define the tariff classes into which customers for Direct Control Services are divided.

Clause 6.18.3(b) of the Rules requires that each customer for a Direct Control Service must be a member of one or more tariff classes.

Clause 6.18.3(c) of the Rules requires that separate tariff classes must be constituted for customers to whom Standard Control Services are supplied and customers to whom Alternative Control Services are supplied (but a customer for both Standard Control Services and Alternative Control Services may be a member of 2 or more tariff classes).

Clause 6.18.3(d) of the Rules requires that a tariff class be constituted with regard to the need to group customers together on an economically efficient basis, and the need to avoid unnecessary transactions costs.

Clause 6.18.4(a) of the Rules provides that when approving the assignment of customers to tariff classes, or the reassignment of customers from one tariff class to another the AER is required to have regard to the following principles, that:

1. Customers should be assigned to tariff classes on the basis of one or more of the following factors:
  - (i) The nature and extent of their usage;
  - (ii) The nature of their connection to the network; and
  - (iii) Whether remotely-read interval metering or other similar metering technology has been installed at the customer's premises as a result of a regulatory obligation or requirement;
2. Customers with a similar connection and usage profile should be treated on an equal basis; and
3. Customers with micro-generation facilities should be treated no less favourably than customers without such facilities but with a similar load profile.

Ergon Energy's compliance with these requirements is set out in the following sections.

#### **6.1.1 Standard Control Services**

Ergon Energy's selection of Standard Control Service tariff classes follows its cost allocation process for tariff setting by differentiating between:

- Customer groupings – being ICC, SAC, CAC and EG customers;
- Zones – being East, West and Mount Isa; and

- Whether the customer is subject to the previous arrangements where connection assets form part of the network tariff or the Large Customer Connection process where new or augmented connection assets are paid for or contributed by the customer.

The consequent tariff classes under this approach are set out in section 6.1.3 of this Pricing Proposal thus meeting the requirements of clause 6.18.2(b)(1) and clause 6.18.3(a) of the Rules. In relation to clause 6.18.3(b) of the Rules, all of Ergon Energy's customers for Direct Control Services are a member of one or more tariff classes. This is because:

- All of Ergon Energy's customers are assigned to at least one network tariff in the DCOS model, and no customers are priced outside this model; and
- All network tariffs calculated by the DCOS model are allocated to Standard Control Service tariff classes (Standard Control Services being a subset of Direct Control Services).

Clause 6.18.3(c) is met by Ergon Energy distinguishing between the tariff classes for Standard Control Services and for Alternative Control Services.

Ergon Energy considers that its selection of tariff classes meets the remaining requirements of the Rules because:

- All of the tariffs within each tariff class have been grouped together on an economically efficient basis (clause 6.18.3(d)), – meaning that the costs of supplying each tariff within the class were roughly equivalent. This would not be met if Ergon Energy submitted on any broader basis;
- The tariffs within each tariff class have been grouped together in a manner that is easy for customers and retailers to understand which avoids unnecessary transaction costs (clause 6.18.3(d)(2)); and
- The tariffs within each tariff class are provided to customers that have similar usage, connection and metering characteristics, while not treating customers with micro-generation facilities less favourably than other customers with a similar load profile (therefore meeting clauses 6.18.4(a)(1), (2) and (3)). This is because Ergon Energy assigns customers to tariffs on the basis of geographical location, usage and size. Customers are first classified into the Eastern Zone, the Western Zone or the Mount Isa Zone, based on geographical location. In order to provide the appropriate economic and cost of supply signals, customers are then assigned into one of four groups of network users.

## **6.1.2 Alternative Control Services**

Ergon Energy's tariff classes for Alternative Control Services are differentiated at the highest level according to the AER's Classification of Services, namely:

- Fee Based Services;
- Quoted Services; and
- Street Lighting Services.

Fee Based Services are separated into two separate tariff classes based on the type of feeder to which a customer requesting the service is connected. Specifically, separate tariff classes have been established for Fee Based Services provided to customers connected to:

- Urban or short rural feeders; and
- Long rural or isolated feeders.

The consequent tariff classes under this approach are set out in section 6.1.3 of this Pricing Proposal, thus meeting the requirements of clause 6.18.2(b)(1) and clause 6.18.3(a) of the Rules. In relation to clause 6.18.3(b) of the Rules, all of Ergon Energy's customers for Direct Control Services are a member of one or more tariff classes. This is because Alternative Control Services are a subset of Direct Control Services and all of Ergon Energy's customers are assigned to at least one network tariff and one Standard Control Services tariff class.

Clause 6.18.3(c) is met by Ergon Energy distinguishing between the tariff classes for Standard Control Services and for Alternative Control Services.

Ergon Energy considers that its selection of tariff classes meets the remaining requirements of the Rules because:

- All of the tariffs within each Alternative Control Service tariff class have been grouped together on an economically efficient basis (clause 6.18.3(d)), – meaning that the costs of supplying each service within the class are roughly equivalent;
- The tariffs within each tariff class have been grouped together in a manner that is easy for customers and retailers to understand which avoids unnecessary transaction costs (clause 6.18.3(d)(2));and
- The tariffs within each tariff class are provided to customers that have similar service requirements, without distinguishing between customers that have or don't have micro-generation facilities (therefore meeting clauses 6.18.4(a)(1), (2), and (3)). This is because customers essentially assign themselves to Alternative Control Service tariff classes by selecting the service that they require.

### **6.1.3 List of Tariff Classes**

Ergon Energy's complete list of tariff classes is set out in Table 6.1 below. There are 33 tariff classes in total.

**Table 6.1: Ergon Energy's Tariff Classes**

| <b>Tariff Class</b>                                              | <b>Network Tariff Codes / Product Codes</b>                                        |
|------------------------------------------------------------------|------------------------------------------------------------------------------------|
| Individually Calculated Customer (Pre 30 June 2010) – East       | EICCA1 onwards                                                                     |
| Individually Calculated Customer (Pre 30 June 2010) – West       | WICCA1 onwards                                                                     |
| Individually Calculated Customer (Pre 30 June 2010) – Mount Isa  | MICCA1 onwards                                                                     |
| Individually Calculated Customer (Post 30 June 2010) - East      | EICCB1 onwards                                                                     |
| Individually Calculated Customer (Post 30 June 2010) – West      | WICCB1 onwards                                                                     |
| Individually Calculated Customer (Post 30 June 2010) – Mount Isa | MICCB1 onwards                                                                     |
| Connection Asset Customers – (Pre 30 June 2010) – East           | ECACA1 onwards                                                                     |
| Connection Asset Customers – (Pre 30 June 2010) – West           | WCACA1 onwards                                                                     |
| Connection Asset Customers – (Pre 30 June 2010) – Mount Isa      | MCACA1 onwards                                                                     |
| Connection Asset Customers – (Post 30 June 2010) - East          | ECACB1 onwards                                                                     |
| Connection Asset Customers – (Post 30 June 2010) – West          | WCACB1 onwards                                                                     |
| Connection Asset Customers – (Post 30 June 2010) – Mount Isa     | MCACB1 onwards                                                                     |
| Embedded Generation (Pre 30 June 2010) – East                    | EEGA1 onwards                                                                      |
| Embedded Generation (Pre 30 June 2010) – West                    | WEGA01 onwards                                                                     |
| Embedded Generation (Pre 30 June 2010) – Mount Isa               | MEGA01 onwards                                                                     |
| Embedded Generation (Post 30 June 2010) - East                   | EEGB1 onwards                                                                      |
| Embedded Generation (Post 30 June 2010) – West                   | WEGB01 onwards                                                                     |
| Embedded Generation (Post 30 June 2010) – Mount Isa              | MEGB01 onwards                                                                     |
| Standard Asset Customer – Large (>100MWH pa) - East              | EDHT1, EDHT2, EDHT3, EDLT1, EDLT2, EDLT3, EDMT1, EDMT2, EDMT3, EDST1, EDST2, EDST3 |
| Standard Asset Customer – Large (>100MWH pa) – West              | WDHT1, WDHT2, WDHT3, WDLT1, WDLT2, WDLT3, WDMT1, WDMT2, WDMT3, WDST1, WDST2, WDST3 |
| Standard Asset Customer – Large (>100MWH pa) – Mount Isa         | MIDH, MIDL, MIDM, MIDS                                                             |
| Standard Asset Customer – Small (<100MWH pa) - East              | EVLT1, EVLT2, EVLT3, EVST1, EVST2, EVST3, EVNT1, EVNT2, EVNT3, EVCT1, EVCT2, EVCT3 |
| Standard Asset Customer – Small (<100MWH pa) – West              | WVLT1, WVLT2, WVLT3, WVST1, WVST2, WVST3, WVNT1, WVNT2, WVNT3, WVCT1, WVCT2, WVCT3 |
| Standard Asset Customer – Small (<100MWH pa) – Mount Isa         | MTVL, MIVS, MIVN, MIVC                                                             |
| Standard Asset Customer – Unmetered - East                       | EVUT1, EVUT1MI, EVUT1MA, EVUT2, EVUT2MI, EVUT2MA, EVUT3, EVUT3MI, EVUT3MA          |

| <b>Tariff Class</b>                             | <b>Network Tariff Codes / Product Codes</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|-------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Standard Asset Customer – Unmetered – West      | WVUT1, WVUT1MI, WVUT1MA, WVUT2, WVUT2MI, WVUT2MA, WVUT3, WVUT3MI, WVUT3MA                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| Standard Asset Customer – Unmetered – Mount Isa | MIVU, MIVUMI, MIVUMA                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| ACS - Fee Based Services (urban/short rural)    | DEENBHU, DEENBHS, REENBHU, REENBHS, REDDBHU, REDDBHS, REINSPU, REINSPS, SUPABOLU, SUPABOLS, TBSSPU, TBSSPS, TBSMPU, TBSMPS, SFRBHU, SFRBHS, WTVU, WTVS, WTVTU, WTVTS.                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| ACS - Fee Based Services (long rural/isolated)  | DEENBHL, DEENBHI, REENBHL, REENBHI, REDDBHL, REDDBHI, REINSPL, REINSPI, SUPABOLL, SUPABOLI, TBSSPL, TBSSPI, TBSMPL, TBSMPI, SFRBHL, SFRBHI, WTVL, WTVI, WTVTL, WTVTI.                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| ACS - Quoted Services                           | As Quoted; or<br>CHTARIFU, CHTARIFS, CHTARIFL, CHTARIFI, CHTSRAU, CHTSRAS, CHTSRAL, CHTSRAI, DEENAHU, DEENAHS, DEENAH, DEENAH, MOVEMTRU, MOVEMTRS, MOVEMTRL, MOVEMTRI, RMMTRU, RMMTRS, RMMTRL, RMMTRI, MTRCKRDU, MTRCKRDS, MTRCKRDL, MTRCKRDI, MTRTESTU, MTRTESTS, MTRTESTL, MTRTESTI, MTTSTCTU, MTTSTCTS, MTTSTCTL, MTTSTCTI, OHUU, OHUS, OHUL, OHUI, POASVU, POASVS, POASVL, POASVI, POATVU, POATVS, POATVL, POATVI, REENAHS, REENAH, REENAH, REENAHU, RMLDCRLU, RMLDCRLS, RMLDCRLL, RMLDCRLI, MTRREPU, MTRREPS, MTRREPL, MTRREPI, SPMTRRDU, SPMTRRDS, SPMTRRDL, SPMTRRDI, SFRAHU, SFRAHS, SFRAHL, SFRAHI. |
| ACS - Street Lighting Services – East           | East - Major, East – Minor                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| ACS - Street lighting Services – West           | West – Major, West – Minor                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| ACS - Street lighting Services – Mount Isa      | Mount Isa – Major, Mount Isa - Minor                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |

It should be noted that in some instances, pre 30 June 2010 tariffs will apply to customers that connect after 30 June 2010. This is because the nature and/or timing of the connection application requires that these customers be recognised under the previous arrangements as existed prior to 30 June 2010. In these circumstances, customers will be notified that the tariffs for the pre 30 June 2010 tariff class will apply.

## 6.2 Assignment and Re-Assignment of Tariffs to Tariff Classes

Clause 6.18.4(a)(1) of the Rules requires Ergon Energy to assign customers to a tariff class or reassign customers to a tariff class on the basis of the nature and extent of their usage; the nature of their connection; or whether remotely read interval metering (or other similar technology) has been installed at the customer's premises as a result of a regulatory obligation or requirement.

Clause 6.18.4(a)(2) of the Rules requires Ergon Energy to treat customers with similar connection and usage profiles on an equal basis.

Appendix B of the AER's Final Distribution Determination sets out its procedures for assigning or reassigning customers to tariff classes.

### 6.2.1 Standard Control Services

In accordance with these requirements, Ergon Energy will continue to use the following range of criteria to assign new customers to a tariff class or to review the current assignment of customers to tariff classes for its Standard Control Services:

- Historical consumption data;
- Expected annual consumption for new customers or those customers who have a written agreement to increase their supply capacity;
- Customer's geographical location and assets utilised in connecting to the network; and
- For customers with energy consumption above 4 GWh per annum, a schematic of the customer's dedicated connection is obtained to ensure that customers with a similar connection and usage profile are treated on an equal basis.

Under clause 6.18.4(a)(3) Ergon Energy must not treat customers with micro-generation less favourably than other customers without such facilities but with a similar load profile. Accordingly Ergon Energy ensures that customers with micro-generation facilities are charged the network tariff for supply to their connection point as are any other network customers.

Under clause 6.18.4(a)(4), Ergon Energy must apply an effective system of assessment and review for any decision to assign or reassign a customer to a particular tariff class. Ergon Energy does not reassign customers without careful review and adequate justification. Reassignment would only occur in a situation where a customer alters the underlying characteristics of their connection, in terms of size or nature of usage, in that it would be no longer be appropriate for the customer to remain assigned to that tariff class.

Assignment or reassignment of customers to Ergon Energy's Standard Control Services tariff classes occurs as a result of:

- New connections to the network;
- Existing customers applying for increased capacity on the network;
- A change in a customer's NMI classification;

- Annual review as part of the process of developing and submitting the Pricing Proposal for approval by the Regulator; or
- Requests for a review of the assigned tariff class by either a customer and/or Retailer.

Ergon Energy has specific criteria for reassignment based on the relevant customer grouping as set out in the table below. Once a customer is identified for reassignment, the connection characteristics and the customer's expected energy consumption are used to determine the appropriate customer group, and hence tariff class, to which the customer should be re-assigned.

**Table 6.2: Tariff Class Reassignment Criteria for Standard Control Services**

|             | <b>Assignment Criteria for new customers</b>                                                                                                                                                                                                | <b>Reassignment criteria for existing customers</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|-------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>SACs</b> | <ul style="list-style-type: none"> <li>- Annual consumption is expected to be below 4 GWh.</li> </ul>                                                                                                                                       | <ul style="list-style-type: none"> <li>- Annual consumption increases, or is expected to increase, above 4 GWh; and /or</li> <li>- A customer requests an increase in supply capacity requiring augmentation to their connection assets which result in a dedicated supply system which is quite different and separate from the remainder of the supply network.</li> </ul>                                                                                                                                                                                                                                                                                                                                                             |
| <b>CACs</b> | <ul style="list-style-type: none"> <li>- Required capacity above 1,500 kVA; or</li> <li>- Annual consumption is expected to exceed 4 GWh.</li> </ul>                                                                                        | <p>Reassigned to Individually Calculated Customers:</p> <ul style="list-style-type: none"> <li>- Annual consumption increases, or is expected to increase, above 40 GWh; and/or</li> <li>- A customer requests an increase in supply capacity requiring augmentation to their connection assets which result in a dedicated supply system which is quite different and separate from the remainder of the supply network.</li> </ul> <p>Reassigned to Standard Asset Customers:</p> <ul style="list-style-type: none"> <li>- Annual consumption reduces or is expected to reduce below 4 GWh and their dedicated supply system is not considered to be quite different and separate from the remainder of the supply network.</li> </ul> |
| <b>ICCs</b> | <ul style="list-style-type: none"> <li>- Annual consumption is expected to exceed 40 GWh; or</li> <li>- Their dedicated supply system is considered to be quite different and separate from the remainder of the supply network.</li> </ul> | <ul style="list-style-type: none"> <li>- Annual consumption reduces or is expected to reduce below 40 GWh and their dedicated supply system is considered comparable with Connection Asset Customers at the same voltage level.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |

Once Ergon Energy has assigned or reviewed the assignment of a customer to a Standard Control Services tariff class, written notification is provided to the customer and their retailer prior to the assignment or reassignment occurring. The written notice includes:

- Advice that the customer may request further information from Ergon Energy and that it may object to the proposed assignment or reassignment;

- A link to Ergon Energy's website where a copy of the internal procedures for reviewing objections is located; and
- Advice that the customer is entitled to seek resolution via the dispute resolution process under Part 10 of the National Electricity Law (NEL), if the objection is not resolved by Ergon Energy to the satisfaction of the customer.

If either the customer or retailer raises an objection to a tariff class assignment or reassignment, the matter is reviewed and in need, escalated to the Manager Regulatory Affairs - Tariff Strategy for reassessment. Following this internal review, should the matter not be resolved to the satisfaction of the customer, the customer is entitled to refer the matter to the AER for resolution via the dispute resolution process available under Part 10 of the NEL.

Details on the assignment of customers to customer groups are currently set out in Ergon Energy's "Information Guide for Standard Control Services Pricing" and the "Network Tariff Guide for Standard Control Services".

In addition, the "Network Tariff Guide for Standard Control Services" sets out the procedures for a review of a customer's Network Tariff Code which will incorporate a review of the customer's tariff class to which the customer is assigned. The "Network Tariff Guide for Standard Control Services" will also provide details on how the customer or retailer can request further information on a customer's tariff class assignment, and the procedures to follow if the customer objects to a proposed tariff class assignment or reassignment. This information is also available in the "Retailer Handbook" issued and available to retailers operating in Ergon Energy's distribution area.

Under clause 6.18.4(b) of the Rules and Appendix B of the AER's Final Distribution Determination, Ergon Energy's Pricing Proposal must contain provisions for an effective system of assessment and review of the basis on which a customer is charged, if the charging parameters for a particular tariff result in a basis of charge that varies according to the usage or load profile of the customer. Ergon Energy understands that the basis of charge may vary according to usage or load profile where:

- A change in the usage or load profile of a customer may mean a different network tariff is more applicable; or
- Within a network tariff, the charging parameter changes according to the customer's usage. For example an additional charging parameter may be included once usage reaches a certain level.

As outlined above, Ergon Energy annually reviews the assignment of customers to its tariff classes as part of the process of developing and submitting its Pricing Proposal to the AER for approval. In undertaking this review, Ergon Energy uses set procedures and specific criteria (as set out in Table 6.2 above) to determine when it is appropriate for a customer to be reassigned to a tariff class as a result of material change in the customer's energy consumption or connection characteristics. These procedures by default also ensure the customer's underlying network tariff associated with a tariff class also remains appropriate with respect to the customer's usage or load profile. That is, if Ergon Energy identifies that a tariff class reassignment is required for a particular customer, then a change to the customer's underlying network tariff necessarily follows.

In addition to this annual review process, customers and/or retailers can expressly request Ergon Energy to review and change a network tariff assigned to a customer in the event of variation to the customer's usage or load profile. Provided that Ergon

Energy agrees to the change in network tariff, this change can take effect during a regulatory year. Ergon Energy will use the set procedures and specific criteria set out above to determine if it is appropriate to change the network tariff assigned to a customer.

With respect to variations in the basis of charge within a network tariff, Ergon Energy can confirm that the charging parameters within its network tariffs do not alter as the customer's usage or load profile varies. That is, each charging parameter within a tariff applies equally to each customer assigned to the network tariff regardless of a customer's individual usage or load profile. Should a customer's usage or load profile vary, the customer can either manage their usage by responding to the price signals inherent in the charging parameters of the tariff, or request to be reassigned to an alternative network tariff (if applicable) that may be more cost effective for the customer's revised requirements.

Therefore, Ergon Energy believes it has an effective system for assessing and reviewing the basis on which a customer is charged.

## **6.2.2 Alternative Control Services**

Ergon Energy notes that the tariffs for Alternative Control Services are allocated to tariff classes in accordance with the AER's Classification of Services as set out in Appendix A of the Final Distribution Determination. As such, customers essentially assign themselves to a tariff class by selecting the service that they require. As noted in section 6.1.2 above, Ergon Energy considers it meets the requirements of clauses 6.18.4(a)(1),(2), and (3) of the Rules and Appendix B of the AER's Final Distribution Determination because the tariffs within each tariff class are provided to customers that have similar service requirements. Further, as with Standard Control Services, the decision to assign or reassign a customer to a tariff class is subject to an effective system of assessment and review as required under clause 6.18.4(a)(4) of the Rules.

Ergon Energy uses the following range of criteria to assign new customers to a tariff class or to review the current assignment of customers to tariff classes for its Alternative Control Services:

- Fee Based Services – based on the:
  - o type of service requested by either a customer and/or a retailer; and
  - o type of feeder to which the customer is connected (i.e. Urban, Short Rural, Long Rural or Isolated);
- Quoted Services – based on the:
  - o type of service requested by either a customer and/or a retailer; and
- Street Lighting Services – based on the:
  - o type of service requested by either a customer and/or a retailer; and
  - o customer's geographical location or pricing zone (i.e. East, West or Mount Isa).

Assignment or reassignment of customers to Ergon Energy's Alternative Control Services tariff classes occurs as a result of:

- Large customers requesting a new connection to the network or an upgrade to their existing connection;
- Street lighting customers requesting installation of a new street light, or gifting a new street light to Ergon Energy;
- New service orders being raised as a result of a request for service by either a customer and/or retailer; and
- Requests for a review of the assigned tariff class by either a customer and/or retailer.

Ergon Energy's "Information Guide for Alternative Control Services Pricing", "Price List for Alternative Control Services" and the "Retailer Handbook" will set out which service belongs to each tariff class. Similar, to Standard Control Services, if a customer or retailer raises an objection to a tariff class assignment or reassignment for Alternative Control Services, the matter is reviewed and in need, escalated to the Manager Regulatory Affairs - Tariff Strategy for reassessment. Following this internal review, if the matter is not resolved to the satisfaction of the customer, the customer is entitled to refer the matter to the AER for resolution via the dispute resolution process available under Part 10 of the NEL.

The procedures a retailer or customer can follow if the customer objects to a proposed tariff class assignment or reassignment are set out in the publicly available "Information Guide for Alternative Control Services Pricing" and "Price List for Alternative Control Services" and to retailers in the "Retailer Handbook".

As the basis of charge and prices for these services is capped and/or developed using an approved formulae, Ergon Energy also considers that the charging parameters of its Alternative Control Service tariffs do not vary according to the usage or load profile of a customer (as it does for Standard Control Services). Therefore Ergon Energy considers that rule 6.1.8.4(b) does not apply for its Alternative Control Services. Therefore, Ergon Energy does not need to assess or review the basis (the approved formulae and price caps) on which a customer is charged for Alternative Control Services.

### **6.2.3 Objections to Tariff Class Assignments or Reassignments**

Ergon Energy has received one objection to a proposed Standard Control Service assignment since 1 July 2010. The matter was reviewed and a letter sent advising a reassignment to which the customer had no objections. Ergon Energy has not received an objection to any Standard Control Service reassignments.

Ergon Energy has not received an objection to any Alternative Control Service assignments or reassignments.

## **6.3 Forecast Weighted Average Revenue**

Clause 6.18.2(b)(4) of the Rules requires Ergon Energy to set out, for each tariff class related to Standard Control Services, the expected weighted average revenue for the relevant regulatory year and also for the current regulatory year. This is shown in Table 6.3 below:

**Table 6.3: Weighted Average Revenue (excluding GST)**

| <b>Tariff Class</b>                                              | <b>2010-11</b> | <b>2011-12</b> |
|------------------------------------------------------------------|----------------|----------------|
| Individually Calculated Customer (Pre 30 June 2010) – East       | \$28,517,539   | \$30,941,134   |
| Individually Calculated Customer (Pre 30 June 2010) – West       | \$11,539,063   | \$12,866,436   |
| Individually Calculated Customer (Pre 30 June 2010) – Mount Isa  | \$0            | \$0            |
| Individually Calculated Customer (Post 30 June 2010) – East      | \$0            | \$0            |
| Individually Calculated Customer (Post 30 June 2010) – West      | \$0            | \$0            |
| Individually Calculated Customer (Post 30 June 2010) – Mount Isa | \$0            | \$0            |
| Connection Asset Customers – (Pre 30 June 2010) – East           | \$60,805,082   | \$65,903,574   |
| Connection Asset Customers – (Pre 30 June 2010) – West           | \$6,871,178    | \$7,322,325    |
| Connection Asset Customers – (Pre 30 June 2010) – Mount Isa      | \$0            | \$0            |
| Connection Asset Customers – (Post 30 June 2010) – East          | \$0            | \$0            |
| Connection Asset Customers – (Post 30 June 2010) – West          | \$0            | \$0            |
| Connection Asset Customers – (Post 30 June 2010) – Mount Isa     | \$0            | \$0            |
| Embedded Generation (Pre 30 June 2010) – East                    | \$2,318,388    | \$2,602,589    |
| Embedded Generation (Pre 30 June 2010) – West                    | \$894,360      | \$969,878      |
| Embedded Generation (Pre 30 June 2010) – Mount Isa               | \$0            | \$0            |
| Embedded Generation (Post 30 June 2010) – East                   | \$0            | \$0            |
| Embedded Generation (Post 30 June 2010) – West                   | \$0            | \$0            |
| Embedded Generation (Post 30 June 2010) – Mount Isa              | \$0            | \$0            |
| Standard Asset Customer – Large (>100MWH pa) – East              | \$180,734,813  | \$196,367,952  |
| Standard Asset Customer – Large (>100MWH pa) – West              | \$48,595,154   | \$51,801,712   |
| Standard Asset Customer – Large (>100MWH pa) – Mount Isa         | \$2,855,880    | \$3,097,497    |
| Standard Asset Customer – Small (<100MWH pa) – East              | \$580,109,834  | \$629,228,336  |

| Tariff Class                                             | 2010-11       | 2011-12       |
|----------------------------------------------------------|---------------|---------------|
| Standard Asset Customer – Small (<100MWH pa) – West      | \$153,686,589 | \$166,110,830 |
| Standard Asset Customer – Small (<100MWH pa) – Mount Isa | \$8,928,718   | \$9,690,841   |
| Standard Asset Customer – Unmetered - East               | \$14,121,920  | \$15,342,519  |
| Standard Asset Customer – Unmetered – West               | \$1,917,659   | \$2,044,399   |
| Standard Asset Customer – Unmetered – Mount Isa          | \$270,069     | \$293,730     |

## 6.4 Compliance with Avoidable and Stand-Alone Cost Requirements

Clause 6.18.5(a) of the Rules requires that for each tariff class, the revenue expected to be recovered lie on or between an upper bound representing the stand alone cost of serving the customers who belong to that class and a lower bound representing the avoidable cost of not serving those customers.

The Rules do not specifically define avoidable and stand-alone costs or set out the methodology that should be applied to calculate these costs. As a result, Ergon Energy has set out its interpretation of both stand alone and avoidable costs in sections 6.4.1 and 6.4.2.

### 6.4.1 Stand Alone Costs

Stand alone costs for a tariff class are the costs of establishing and maintaining infrastructure to service a single tariff class. They represent the upper bound costs of providing a service for a particular tariff class. Assuming that no other tariff classes use network infrastructure means that the economies of scale from multiple tariff classes using a shared network are ignored.

### 6.4.2 Avoidable Cost

Ergon Energy has interpreted avoidable cost as the cost which would be avoided by Ergon Energy not providing a distribution service to a particular tariff class. Thus, if Ergon Energy was to cease providing services to CACs in its Western Zone, the avoidable cost methodology assesses which of its costs could be avoided.

The approach taken to determine stand alone and avoidable cost varies between Standard Control Services and Alternative Control Services and the processes for each are described in section 6.4.3.

### 6.4.3 Process for Determining Stand Alone and Avoidable Cost

#### 6.4.3.1 Standard Control Services

Ergon Energy has estimated the stand alone costs for each tariff class by calculating the total annual costs of operating its network less the avoidable costs of serving other tariff classes. This approach uses the total ARR as a first step, and then subtracts all costs that would be avoided if no other tariff classes were served. This assumes the existence

of the network in its current state. This is consistent with the interpretation that was included in Ergon Energy's 2010-11 Pricing Proposal approved by the AER on 4 June 2010.

Ergon Energy's assessments of stand alone cost were conducted using its DCOS Model. As noted in section 2.2 of this Pricing Proposal, DCOS allocates building blocks components of the ARR to zones, then customer groupings, then tariffs.

Ergon Energy determined the stand alone costs for each standard control service tariff class by obtaining the portion of the ARR to be recovered from the applicable zone (East, West or Mount Isa) and deducting the avoidable cost for all other tariff classes within that zone.

Ergon Energy interpreted avoidable cost for all tariff classes as the value of the connection assets for the customers within that tariff class. Shared costs relating to operational areas have been assumed to be unavoidable as these operational areas service multiple tariff classes.

Ergon Energy considers that:

- Its shared costs (overheads) – that is the costs of maintaining its corporate operations - are not avoidable for any tariff class. These services would need to be maintained for the remaining tariff classes even if one of the tariff class was not served;
- The costs of the shared network – that is, the costs of funding and maintaining the network – are not avoidable for any particular tariff class; and
- The direct costs of supplying each tariff class – being the ROA, depreciation and opex costs on assets that are directly attributable to the customers within that tariff class – are avoidable.

Ergon Energy's stand alone and avoidable costs for each Standard Control Service tariff class are set out in section 6.4.4.

#### **6.4.3.2 Alternative Control Services (Fee Based and Quoted Services)**

Ergon Energy provides its Alternative Control Services using a mix of shared and dedicated physical assets and labour. It prices each of these services on a full cost recovery basis using the formula approved by the AER.

The use of a cost based formula for pricing implies that if there were only one Alternative Control Service tariff class provided by Ergon Energy, then total revenue for that tariff class would equal the total cost of serving that tariff class (where total cost incurred in the provision of the service for that tariff class includes the full cost of assets used by all Alternative Control Services). Given that Ergon Energy provides more than one Alternative Control Service tariff class, the allocation of shared assets such as depots and vehicles are shared between all Alternative Control Services tariff classes. This means that the revenue received from one Alternative Control Services tariff class will be less than the stand-alone cost of that tariff class.

The avoidable cost of Alternative Control Services is the cost incurred in the delivery of the services to a tariff class if no services were provided to any other tariff class. The only avoided costs relating to Alternative Control Services relate to labour costs charged on an hourly basis and materials consumed during the course of providing the service.

Given that the formula used to derive prices for Fee Based and Quoted Services includes a component of shared costs, the total revenue for tariff classes will exceed the avoidable portion.

Ergon Energy has not undertaken any quantitative analysis of its stand alone and avoidable costs for Alternative Control Services.

#### **6.4.3.3 Alternative Control Services (Street Lighting)**

The prices for Street Lighting Services have been developed by allocating the approved ARR to the East, West and Mount Isa Zones for Street Lighting Services. Given that Ergon Energy has proposed one street lighting tariff class for each of these zones, the revenue expected to be recovered from each tariff class will be equal to the allocation of the ARR for Street Lighting Services for that zone. It will not exceed the stand-alone cost. The expected revenue therefore lies on the stand-alone cost, and is therefore compliant with clause 6.18.5(a)(1) of the Rules.

The avoidable cost for Street Lighting Services is equal to the cost which would be avoided by Ergon Energy not providing a particular tariff class of Street Lighting Services. If Ergon Energy was to cease providing Street Lighting Services in its Western Zone, for example, it would avoid the allocated ARR for Street Lighting Services in that zone, comprising the ROA, depreciation and direct opex on street lighting assets but would not avoid shared costs (overheads) which provide services to other Alternative Control Services tariff classes. The avoidable cost will therefore be less than the stand-alone cost.

Given that expected revenue lies on the stand-alone cost, and avoidable cost is less than the stand-alone cost, the expected revenue complies with clause 6.18.5(a) of the Rules.

#### 6.4.4 Comparison of Avoidable Costs, Expected Revenue and Stand Alone Costs

Table 6.4 below demonstrates that for each Standard Control Service tariff class, the 2010-11 expected revenue for each tariff class lies on or between the lower bound avoidable cost and an upper bound stand alone cost, in accordance with clause 6.18.5(a) of the Rules.

This calculation of these amounts is demonstrated in [Appendix 2](#).

**Table 6.4: Avoidable Costs, Expected Revenue and Stand Alone Costs for Standard Control Services (excluding GST)**

| Tariff Class                                                     | Avoidable Costs (\$M) | Expected Revenue (\$M) | Stand Alone Costs (\$M) | Clause 6.18.5(a) met |
|------------------------------------------------------------------|-----------------------|------------------------|-------------------------|----------------------|
| Individually Calculated Customer (Pre 30 June 2010) - East       | \$9,524,445           | \$30,941,134           | \$818,256,255           | Yes                  |
| Individually Calculated Customer (Pre 30 June 2010) – West       | \$1,349,003           | \$12,866,436           | \$230,725,115           | Yes                  |
| Individually Calculated Customer (Pre 30 June 2010) – Mount Isa  | \$0                   | \$0                    | \$11,216,706            | Yes                  |
| Individually Calculated Customer (Post 30 June 2010) – East      | \$0                   | \$0                    | \$808,731,810           | Yes                  |
| Individually Calculated Customer (Post 30 June 2010) – West      | \$0                   | \$0                    | \$229,376,112           | Yes                  |
| Individually Calculated Customer (Post 30 June 2010) – Mount Isa | \$0                   | \$0                    | \$11,216,706            | Yes                  |
| Connection Asset Customers – (Pre 30 June 2010) – East           | \$8,982,385           | \$65,903,574           | \$817,714,195           | Yes                  |
| Connection Asset Customers – (Pre 30 June 2010) – West           | \$207,803             | \$7,322,325            | \$229,583,915           | Yes                  |
| Connection Asset Customers – (Pre 30 June 2010) – Mount Isa      | \$0                   | \$0                    | \$11,216,706            | Yes                  |
| Connection Asset Customers – (Post 30 June 2010) - East          | \$0                   | \$0                    | \$808,731,810           | Yes                  |
| Connection Asset Customers – (Post 30 June 2010) – West          | \$0                   | \$0                    | \$229,376,112           | Yes                  |
| Connection Asset Customers – (Post 30 June 2010) – Mount Isa     | \$0                   | \$0                    | \$11,216,706            | Yes                  |
| Embedded Generation (Pre 30 June 2010) – East                    | \$1,714,157           | \$2,602,589            | \$810,445,967           | Yes                  |
| Embedded Generation (Pre 30 June 2010) – West                    | \$593,040             | \$969,878              | \$229,969,152           | Yes                  |
| Embedded Generation (Pre 30 June 2010) – Mount Isa               | \$0                   | \$0                    | \$11,216,706            | Yes                  |
| Embedded Generation (Post 30 June 2010) - East                   | \$0                   | \$0                    | \$808,731,810           | Yes                  |
| Embedded Generation (Post 30 June 2010) – West                   | \$0                   | \$0                    | \$229,376,112           | Yes                  |
| Embedded Generation (Post 30 June 2010)                          | \$0                   | \$0                    | \$11,216,706            | Yes                  |

| Tariff Class                                             | Avoidable Costs (\$M) | Expected Revenue (\$M) | Stand Alone Costs (\$M) | Clause 6.18.5(a) met |
|----------------------------------------------------------|-----------------------|------------------------|-------------------------|----------------------|
| – Mount Isa                                              |                       |                        |                         |                      |
| Standard Asset Customer – Large (>100MWH pa) - East      | \$8,868,411           | \$196,367,952          | \$817,600,221           | Yes                  |
| Standard Asset Customer – Large (>100MWH pa) – West      | \$630,825             | \$51,801,712           | \$230,006,938           | Yes                  |
| Standard Asset Customer – Large (>100MWH pa) – Mount Isa | \$195,707             | \$3,097,497            | \$11,412,414            | Yes                  |
| Standard Asset Customer – Small (<100MWH pa) - East      | \$93,708,201          | \$629,228,336          | \$902,440,012           | Yes                  |
| Standard Asset Customer – Small (<100MWH pa) – West      | \$8,257,202           | \$166,110,830          | \$237,633,315           | Yes                  |
| Standard Asset Customer – Small (<100MWH pa) – Mount Isa | \$1,479,669           | \$9,690,841            | \$12,696,375            | Yes                  |
| Standard Asset Customer – Unmetered - East               | \$9,001,203           | \$15,342,519           | \$817,733,014           | Yes                  |
| Standard Asset Customer – Unmetered - West               | \$720,641             | \$2,044,399            | \$230,096,753           | Yes                  |
| Standard Asset Customer – Unmetered - Mount Isa          | \$192,680             | \$293,730              | \$11,409,386            | Yes                  |

## 6.5 Long Run Marginal Cost

Clause 6.18.5(b)(1) of the Rules requires that each charging parameter for a tariff class take into account the long run marginal cost for the service or, in the case of a charging parameter, for the element of the service to which the charging parameter relates.

Ergon Energy interprets Long Run Marginal Cost (LRMC) as the investment required to expand long term capacity in a network.

Ergon Energy has taken its guidance in relation to the application of LRMC for the purposes of satisfying clause 6.18.5(b)(1) of the Rules from the Distribution Pricing Framework Paper (MCE Paper) released by the Ministerial Council of Energy as part of the development of 6.18 of the Rules. The MCE Paper, while stopping short of providing a definition for LRMC, noted that it is:

*...a forward looking concept that relies as much on probability and expectation as on fact. Estimates of marginal cost therefore represent the probability weighted cost of various expectations of demand and supply scenarios.*

Importantly, the MCE Paper did not propose that a DNSP should define LRMC in a numerical sense – rather that a DNSP should select charging parameters based on long run costs incurred by a DNSP - such as the need for investment in network capacity - which have the potential to alter customer behaviour and which reflect the usage basis of that customer. By structuring tariffs based on charging parameters which signal these long term capacity based costs, a DNSP can ensure that its tariffs (and charging parameters) reflect LRMC.

The Paper did not define a method of determining LRMC - it merely suggested a mechanism by which LRMC could be reflected into prices through the selection of appropriate charging parameters by a utility.

As noted in section 2.2 of this Pricing Proposal, Ergon Energy determines the costs to be recovered from a tariff class, and designs the charging parameters within a tariff, in order to both reflect long term cost and provide effective signals, respectively. Ergon Energy's tariffs and charging parameters not only recover amounts from tariff classes which are reflective of the costs of providing services to these customers, but send pricing signals to customers through the selection of charging parameters.

Ergon Energy allocates the ARR to tariff classes on the basis of:

- The number of customers connected to the network. This allocator is appropriate for those costs that are dependent upon or driven by the number of connected customers. Ergon Energy has a number of costs that are customer number based, including a significant proportion of the overhead costs of the business that are driven by the number of staff and systems required to serve the customer base;
- Anytime energy. This is used to allocate those costs that are related to the size of the customer but not specifically to the demand that customer places on the network, for example, network operating costs. In addition, consistent with the recovery mechanisms used in the electricity market, costs that cannot be directly related to a product or service are recovered through the use of anytime energy prices (e.g. some overhead costs);
- ATMD. This method of allocation is used for shared system costs, on the basis that network development is driven by peak demand; and
- Asset value. This is used to apportion ROA, depreciation and opex costs.

Ergon Energy has selected its charging parameters in order to effectively signal LRMC to customers, in particular to signal the impact that customers will have on the network. This in turn assists to manage demand and volume variance risk, and avoids sending signals that could result in inefficient choices being made by customers of that tariff class.

As discussed in section 2.2.6 of this Pricing Proposal, Ergon Energy uses three charging parameters to signal customers, being fixed charges, capacity and actual demand charges and volume charges. These are discussed below.

### **6.5.1 Fixed Charges**

As outlined in section 2.2.6.1, Ergon Energy's fixed charging parameter reflects the costs associated with the connection assets (entry and exit services) and network user management services. The fixed charge provides a signal to network users about the cost of their connection and sets a constant and foreseeable price for users to assist them in understanding costs prior to making a decision to connect to the network. Based on a \$/day, the fixed charge applies to all of Ergon Energy's customer groups.

### **6.5.2 Capacity and Demand Charges**

As set out in section 2.2.6.2 of this Pricing Proposal, shared network costs for ICCs, CACs and SACs >100 MWh, are recovered through the capacity charge and/or actual demand charge components. These charges provide the economic signals to customers on the use of the shared network.

While the demand charge is the main signal to the customer of the effect of their demand on system augmentation, it does not signal low load factor customers which may have infrequent demand usage but impose the same load requirements on the system as high load factor customers.

The capacity charge is intended to provide those signals.

The capacity charge differs from the demand charge in that the demands used for the calculation of the charge have different reset periods. The demand charge uses the actual demand recorded each month whereas the capacity charge uses an annual actual or authorised demand.

The demand charge is levied on the basis that network users which place greater pressure on the system should incur higher charges.

A capacity charge is similar to a demand charge but more effectively takes into account the impact that low load factor customers have on system augmentation. It sends signals to these customers to reduce their network charges by reducing the variability of their consumption.

The capacity charge (\$/kW/month) applies to ICC and CAC network users only and the actual demand charges (\$/kW/month) apply to ICC, CAC, and SACs >100 MWh users.

### **6.5.3 Volume Charges**

As set out in section 2.2.6.3 of this Pricing Proposal, volume charges recover costs that have been allocated on a postage stamped basis. The volume charge applies to the energy (kWh) metered at the network user's installation.

Ergon Energy's volume charges apply to ICC, CAC and SACs.

## **6.6 Transaction Costs**

Clause 6.18.5(b)(2)(i) of the Rules requires each tariff and, if it consists of two or more charging parameters, each charging parameter for a tariff class to be developed having regard to transaction costs associated with the tariff or charging parameter.

Ergon Energy confirms that it had regard to the transaction costs when selecting its tariffs and charging parameters of tariff classes.

Ergon Energy has not altered the structure or format of its network tariffs from the last regulatory control period, or in the preceding regulatory year. Ergon Energy's charging parameters and tariffs are well known to customers and their retailers. This means that customers and retailers will continue to be charged on the same basis as they have historically been, and will therefore not incur any unnecessary transaction costs in the application of Ergon Energy's proposed tariffs and charging parameters.

## **6.7 Response to Price Signals**

Clause 6.18.5(b)(2)(ii) of the Rules requires each tariff and, if it consists of two or more charging parameters, each charging parameter for a tariff class to be developed having regard to whether customers of the relevant tariff class are able or likely to respond to price signals.

Each charging parameter of Ergon Energy's tariffs has been developed such that customers are able to respond to price signals.

The fixed charging parameter is designed to recover the fixed cost of a customer's connection assets. Network users can manage these costs by ensuring that the dedicated connection assets installed match their load and reliability requirement.

The capacity and demand charges provide a strong signal to customers on the use of the shared network, and to reduce maximum demands at point of identified constraints.

The volume charge provides a signal that increased customer usage results in cost increases in some aspects of Ergon Energy's operations. If customers use more electricity, then they will bear an increasing portion of the ARR and therefore their charges will rise. Customers may manage the amount of their charges by reducing their usage.

## 6.8 Tariff Adjustment to Address Revenue Shortfalls

Clause 6.18.5(c) of the Rules provides that if, as a result of the operation of clause 6.18.5(b), Ergon Energy may not recover the expected revenue, tariffs will be adjusted in accordance with clause 6.18.5(c) of the Rules, so as to ensure recovery of expected revenue with minimum distortion to efficient patterns of consumption.

Ergon Energy does not need to apply this clause of the Rules in 2011-12 as the operation of clause 6.18.5(b) does not impact on Ergon Energy's ability to recover the expected revenue.

## 6.9 Compliance with Side Constraints

Clause 6.18.6(b) of the Rules applies side constraints in relation to weighted average revenue increases between *regulatory years*. In accordance with section 4.5.2 of the AER's Final Distribution Determination, the following formula is used to determine side constraints for each tariff class:

$$\frac{\sum_{j=1}^m d_t^j \times q_t^j}{\sum_{j=1}^m d_{t-1}^j \times q_t^j} \leq (1 + \Delta CPI_t) \times (1 - X_t) \times (1 + 2\%) \pm S_t \pm C_t \pm \text{transitional}_t \pm \text{passthrough}_t \pm \text{unders \& overs}_t$$

Ergon Energy confirms that the weighted average revenue for its tariff classes for 2011-12 are within the permissible percentage allowed by clause 6.18.6 of the Rules. This is demonstrated in [Appendix 2](#)

Clause 11.16.8 of the Rules sets out a transitional arrangement for Ergon Energy which provides that:

*Nothing in clause 6.18.6 of the Rules precludes Ergon Energy implementing any of the price paths approved by the QCA in the next regulatory control period, including any necessary adjustments to those price paths in light of the revenues expected for the first year of the next regulatory control period*

In the 2005-10 regulatory control period the QCA required Ergon Energy to adopt side constraints on individual contestable customer distribution price increases to a maximum

of CPI plus 5 per cent per year<sup>1</sup>. The transitional arrangement set out in clause 11.16.8 of the Rules allows for Ergon Energy to apply QCA approved price paths for some customers which exceed these side constraints. In section 4.5.2 of the AER's Final Distribution Determination, the AER stated that Ergon Energy must continue to comply with the individual side constraints for those customers listed in table 143 of Ergon Energy's Original Regulatory Proposal.

As the weighted average revenue for Ergon Energy's tariff classes for 2011-12 is within the permissible percentage allowed by clause 6.18.6 of the Rules, Ergon Energy has not applied any individual side constraints

Ergon Energy confirms that in accordance with clause 6.18.6(e) of the Rules, the application of side constraints does not limit the extent a tariff for a customer with remotely read interval metering may vary according to the time or other circumstances of the customer's usage.

## **6.10 Tariff Changes and Development**

### **6.10.1 Adjustments to Tariffs within a Regulatory Year**

Clause 6.18.2(b)(5) of the Rules requires that a Pricing Proposal set out the nature of any variation or adjustment to the tariff that could occur during the course of the regulatory year and the basis on which it could occur.

Variations or adjustments to tariffs will occur where an ICC, CAC or EG customer advises Ergon Energy that they intend to alter their demand or connection characteristics during 2011-12. In this case, Ergon Energy would recalculate the charging parameters of the tariff.

New tariffs will be created for each ICC, CAC or EG customer that connects during 2011-12, in line with the methodology set out in this Pricing Proposal.

### **6.10.2 Expected Price Trends**

6.18.9(a)(3) of the Rules requires Ergon Energy to provide a statement of expected price trends, to be updated each regulatory year, that gives an indication of how it expects prices to change over the regulatory control period and the reasons for the expected changes.

#### **6.10.2.1 Standard Control Services**

For each year of this regulatory control period, Ergon Energy will set its prices for Standard Control Services to meet the requirements of clause 6.18.6 of the Rules.

This means that the weighted average revenue to be raised from a tariff class will not increase between two regulatory years by more than the permissible percentage. Ergon Energy expects the permissible percentage to be 12.41% in 2012-13 and 2013-14 and 6.53% in 2014-15. However, this is subject to the change in the actual CPI as published by the Australian Bureau of Statistics (ABS). The change in prices will also be subject to any adjustments approved by the AER for:

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<sup>1</sup>Queensland Competition Authority, Final Determination on the Regulation of Electricity Distribution, April 2005, p.191

- Service Target Performance Incentive Scheme (STPIS);
- The difference between forecast and actual capital contributions;
- Transitional factors such as unders and overs adjustments for shared assets;
- Pass throughs;
- Jurisdictional scheme amounts; and
- Unders and overs associated with the DUOS unders and overs account.

The permissible percentage reflects the AER approved ARR for Ergon Energy. Specifically, the change in prices is due to a number of factors, including increased customer demand, improvements to maintenance programs, and higher labour and materials costs.

The ARRs for the period 2011-12 to 2014-15 have also been adjusted to reflect the outcomes of the Tribunal's review of the AER's Final Distribution Determination. Ergon Energy's revised ARRs are set out in section 6.11.1 of this Pricing Proposal.

## **6.10.2.2 Alternative Control Services**

### **6.10.2.2.1 Fee Based and Quoted Services**

As discussed in section 4.2 above, the AER has approved formula to be used in calculating tariffs for Fee Based and Quoted Services. In its Final Distribution Determination, the AER stated that Ergon Energy is to recalculate labour and materials escalators and overhead rates each year. However, on-costs and the capital allowance remain fixed for the entire regulatory control period.

As discussed in section 6.12, Ergon Energy has recalculated overhead rates but applied the current approved escalators to calculate indicative prices for each remaining year of the regulatory control period. These indicative prices are set out in [Appendix 5](#). Ergon Energy is able to recalculate labour, materials and Other Costs escalators each year. However, Ergon Energy will only consider re-calculating escalators if actual costs diverge from those expected at the time of the AER's Final Distribution Determination. Overheads will be calculated in accordance with the AER approved Cost Allocation Method (CAM) each year which may result in different prices from those set out in [Appendix 5](#).

### **6.10.2.2.2 Street Lighting Services**

In its Final Distribution Determination, the AER set prices for Street Lighting Services for 2010-11 and price paths for each remaining year of the regulatory control period. The prices for the regulatory years 2011-12 to 2014-15 were subsequently amended following the Determination of the Tribunal. The prices for 2011-12 are set out in [Appendix 3](#) and prices for each remaining year of the regulatory control period are set out in [Appendix 5](#).

## **6.10.3 Future Tariff development**

Ergon Energy seeks to leverage climate change to deliver dual benefits including carbon reduction and affordable long-term solutions to growing peak demand. Accordingly, a range of innovative work designed to improve the suite of existing tariff arrangements is

being undertaken by Ergon Energy. This includes initiatives such as Rewards Based Tariff trials, tariff trials as part of the Solar Cities project and air conditioning and pool pump direct load control trial programs for households.

It is noted that as initiatives are developed Ergon Energy will undertake public consultation. This will ensure that customers, retailers and interested parties are involved in the development of new tariffs and are cognisant of changes likely to affect them.

## **6.11 Changes between 2010-11 and 2011-12**

Clause 6.18.2(b)(8) of the Rules requires that a Pricing Proposal must describe the nature and extent of change from the previous regulatory year and demonstrate that the changes comply with the Rules and any applicable Distribution Determination.

There are no fundamental changes proposed to tariff classes, tariffs or tariff setting processes for Standard Control Services for 2011-12 in comparison to those already approved by the AER as being compliant with the Rules and the Final Distribution Determination in the 2010-11 regulatory year.

However, there have been changes to Ergon Energy's ARR and X factors to apply for Standard Control Services and Street Lighting Services and to the tariffs and tariff setting processes for Alternative Control Services from 2011-12 as a result of the Tribunal's review of the AER's Final Distribution Determination. These changes are discussed further below.

### **6.11.1 Changes to AER-Approved Labour Escalators, Capital Expenditure Allowances and Gamma value**

On 19 May 2011, the Tribunal varied aspects of Ergon Energy's capital expenditure allowance, labour escalators and the value of gamma previously allowed for in the AER's Final Distribution Determination made on 6 May 2010. These aspects are used in the calculation of Ergon Energy's ARRs for both Standard Control Services and Street Lighting Services, as well as in the derivation of prices for Fee Based and Quoted Services.

In accordance with the Tribunal's Determination, the ARRs to apply to Ergon Energy's Standard Control Services and Street Lighting Services, have been adjusted to reflect the revised revenue Ergon Energy is permitted to recover from customers for the remaining years of the regulatory control period (2011-12 to 2014-15)..

The revised ARRs for Ergon Energy's Standard Control Services and Street Lighting Services are set out below.

Table 6.5: Australian Competition Tribunal Outcome for Ergon Energy: Standard Control Services (\$M, nominal)

| Standard Control Services                |                                                                                                   | 2010-11          | 2011-12          | 2012-13          | 2013-14          | 2014-15          |
|------------------------------------------|---------------------------------------------------------------------------------------------------|------------------|------------------|------------------|------------------|------------------|
| Final Distribution Determination outcome | Annual Revenue Requirement                                                                        | \$1,105.0        | \$1,224.8        | \$1,320.5        | \$1,421.3        | \$1,482.7        |
|                                          | Expected Revenues                                                                                 | \$1,123.1        | \$1,210.1        | \$1,303.9        | \$1,404.9        | \$1,513.8        |
|                                          | X Factors (%)<br>[Negative values for X indicate real revenue increases under the CPI-X formula.] | -29.61           | -5.10            | -5.10            | -5.10            | -5.10            |
| Tribunal Amended Figures                 | Annual Revenue Requirement                                                                        | \$1,121.0        | \$1,269.2        | \$1,369.2        | \$1,484.0        | \$1,546.6        |
|                                          | Expected Revenues                                                                                 | <b>\$1,123.1</b> | <b>\$1,237.8</b> | <b>\$1,364.1</b> | <b>\$1,503.4</b> | <b>\$1,570.1</b> |
|                                          | X Factors (%)<br>[Negative values for X indicate real revenue increases under the CPI-X formula.] | -29.61%          | -7.50%           | -7.50%           | -7.50%           | -1.87%           |

On 30 May 2011, Ergon Energy received a direction from the Queensland Government not to pass on the Standard Control Services 2011-12 revenue increases arising from the Tribunal's gamma decision. The amount of 2011-12 SCS smoothed revenue attributable to the gamma decision is \$40.9M.

After performing the MAR and unders-and-overs calculations, the SCS smoothed revenue to be collected from DUOS charges in 2011-12 will now be \$1194.7M.

Table 6.6: Australian Competition Tribunal Outcome for Ergon Energy: Alternative Control Services – Street Lighting Services

| ACS - Street Lighting Services           |                                                                                                   | 2010-11 | 2011-12 | 2012-13 | 2013-14 | 2014-15 |
|------------------------------------------|---------------------------------------------------------------------------------------------------|---------|---------|---------|---------|---------|
| Final Distribution Determination outcome | Annual Revenue Requirement                                                                        | \$27.9  | \$28.3  | \$28.7  | \$29.6  | \$30.5  |
|                                          | Expected Revenues                                                                                 | \$27.1  | \$28.0  | \$29.0  | \$30.0  | \$31.1  |
|                                          | X Factors (%)<br>[Negative values for X indicate real revenue increases under the CPI-X formula.] | -73.99  | -1.00   | -1.00   | -1.00   | -1.00   |
| Tribunal Amended Figures                 | Annual Revenue Requirement                                                                        | \$29.0  | \$29.4  | \$29.8  | \$30.7  | \$31.6  |
|                                          | Expected Revenues                                                                                 | \$27.1  | \$28.9  | \$30.5  | \$32.1  | \$32.5  |
|                                          | X Factors (%)<br>[Negative values for X indicate real revenue increases under the CPI-X formula.] | -73.99% | -4.00%  | -3.20%  | -2.70%  | 1.27%   |

The revised labour escalators also impact the escalators used by Ergon Energy in the calculation of prices for Fee Based Services and indicative prices for Quoted Services. This is discussed further in section 6.12 of this Pricing Proposal.

### 6.11.2 Addition of Other Costs for Quoted Services

The Tribunal also varied the AER's Final Distribution Determination on 19 May 2011 to allow Ergon Energy to charge customers other one-off costs it incurs in the delivery of a Quoted Service. As a result, there have been changes to the formula and formula components used to determine tariffs to be levied on customers for Quoted Services between the 2010-11 and 2011-12 regulatory years.

In particular, the formula used by Ergon Energy to calculate tariffs to be levied for Quoted Services has been amended to reflect the addition of a new formula component for Other Costs (OCi). The formula used to calculate tariffs for Fee Based Services does not include Other Costs and remains unchanged from the formula approved by the AER in its Final Distribution Determination.

The formulas Ergon Energy has used to calculate tariffs for both Fee Based and Quoted Services are set out in section 4.2 of this Pricing Proposal.

## **6.12 Fee Based and Quoted Services Formula Components**

### **6.12.1 Changes in Individual Formula Components**

As set out in section 18.3.5 of the Final Distribution Determination, Ergon Energy is required to set out the nature and extent of any variation to an individual formula component, on-cost or overhead rate applicable in the previous regulatory year that is above the indicative prices for Quoted Services and Fee Based Services contained in the Final Distribution Determination. Where Ergon Energy varies a component, it is to provide quantitative and qualitative information to support the variation.

Under the AER's Final Distribution Determination, Ergon Energy is able to recalculate labour and materials escalators and overhead rates for each regulatory year. Changes to the nature of these components and quantitative information to support the calculation are set out below.

#### **6.12.1.1 Labour Escalators**

The labour escalators contained in the AER's Final Distribution Determination have been amended to reflect the Tribunal's Determination on Labour Cost Escalators made on 19 May 2011.

Ergon Energy has adjusted the amended nominal labour escalators by annual CPI data to March 2011 as published by the ABS to develop prices for Fee Based Services and indicative prices for Quoted Services in 2011-12. Indicative prices for Fee Based and Quoted Services in the remaining regulatory years (i.e. 2012-13 onwards) are based on the amended nominal labour escalators.

#### **6.12.1.2 Materials Escalators**

Ergon Energy has adjusted the nominal materials escalators contained in the AER's Final Distribution Determination by annual CPI data to March 2011 as published by the ABS to calculate indicative prices for Quoted Services in 2011-12. Indicative prices for Quoted Services in the remaining regulatory years (i.e. 2012-13 onwards) are based on nominal materials escalators as set out in the AER's Final Distribution Determination.

There are no materials used in the provision of Fee Based Services.

#### **6.12.1.3 Other Costs Escalators**

Ergon Energy has used the Other Costs escalators applied in the Tribunal's Determination on Other Costs.

For the 2011-12 regulatory year Ergon Energy has adjusted the Other Costs escalators by annual CPI data to March 2011 as published by the ABS to calculate indicative prices for Quoted Services. Indicative prices for Quoted Services in the remaining regulatory years (i.e. 2012-13 onwards) are based on nominal Other Costs escalators applied in the Tribunal's Determination on Other Costs.

Other Costs do not apply in the provision of Fee Based Services.

#### 6.12.1.4 Overhead Rates

Ergon Energy has recalculated its overhead rates to reflect the AER's Final Distribution Determination. Consistent with its AER approved CAM; Ergon Energy uses the following methodology to calculate the overhead rate for its Fee Based and Quoted Services.

1. **Determine the total direct costs for each Line of Business for the regulatory year.** At the start of the financial year, budget data is used to set costs expected to be directly attributable to business functions (or Lines of Business (LOB) within Ergon Energy in delivering its work plans. These costs include both capital expenditure and operating expenditure and are determined using an Activity Based Costing Method which maps and directly attributes expected costs of particular activities to categories of Distribution Services and LOB in the Chart of Accounts.
2. **Determine total shared costs (overheads) for the regulatory year.** Budget data is also used to set costs expected to relate to shared "support" services which cannot be directly attributable to a particular activity or work plan. For example shared costs include costs associated with business units that provide corporate support services across the Ergon Energy Group (*Corporate Overheads*). Shared costs also include costs associated with support services provided within Ergon Energy's operational business units that have not been direct attributed (*Operational Overheads*). Operational Overheads predominantly represent labour and administration costs associated with (but not limited to) senior management, technical and operations support, including maintenance and construction standards, mapping, technical data records and field investigations and auditing.
3. **Allocation of total shared costs (overheads) between Ergon Energy Group districts.** Ergon Energy Corporation Limited as the parent entity of the Ergon Energy Group provides "support" services to three other districts (or legal entities). These include:
  - EEQ - subsidiary entity responsible for providing non-competing electricity retail services to non-contestable customers;
  - Ergon Energy Telecommunications Pty Ltd (EET) – subsidiary entity and licensed telecommunications carrier providing wholesale high-speed data capacity to the Ergon Energy Group and external customers; and
  - Sparq Solutions Pty Ltd (SPARQ) – joint venture company formed by Ergon Energy and ENERGEX providing information technology and telecommunications to Ergon Energy and ENERGEX. Ergon Energy holds a 50% share in SPARQ.

Once the total shared costs for the regulatory year are determined, the costs are then allocated to each entity in the Ergon Energy Group using causal allocators in accordance with the CAM. The choice of allocator depends on the type of service provided. For example, where the shared costs are identified as relating solely to a legal entity within the Ergon Energy Group, costs are directly allocated to that entity. In other cases, the number of transactions undertaken or time spent in providing the service may be the driver to calculate the allocation of work and shared costs to each entity.

4. **Allocation of Shared Costs between Ergon Energy Lines of Business.** The total shared costs that are allocated to Ergon Energy are then further allocated between LOB on the following basis:
- *Corporate Overheads* - costs are allocated to each LOB based on the ratio of direct costs for the LOB. That is, the total direct costs for each LOB (as described in step 1) are summed, and the relevant percentage of the total direct costs is determined for each LOB. These percentages are then used to fully allocate the shared corporate costs across each LOB.
  - *Operational Overheads* - costs are also allocated to LOB based on a ratio of direct costs. However, as some of the operational business units do not take part in some LOB, the shared cost percentage rates are 'grossed up' in order to fully allocate the costs over applicable LOB. That is, the direct cost percentages for each LOB that the business unit takes part in are summed, to determine a proportion of the total direct costs that are attributable to the business unit. The direct cost percentage for each LOB is then divided by the total proportion of direct costs for the business unit to determine a percentage to fully allocate the shared operational costs over each applicable LOB.
5. **Calculate the Overhead Rate for each LOB.** The total overhead rate for each LOB is then calculated by summing the total allocated shared costs for each LOB, and expressing this as a percentage of total costs for each LOB (i.e. total costs being the sum of direct costs and overhead costs for each LOB).
6. **Select appropriate Overhead Rate.** The overhead rate used by Ergon Energy for its Alternative Control Services – Fee Based and Quoted Services is the calculated overhead rate for the LOB that represents the work undertaken and Activity in the provision of the particular service in the Chart of Accounts. For example:
- The Large Customer Connection service is mapped to the 'Connection Services Large' Activity and attributed to Regulated Capex LOB in the Chart of Accounts. This means the overhead rate used in the Quoted Services formula for Large Customer Connections will be the annual Regulated Capex overhead rate calculated by Ergon Energy in accordance with the CAM.
  - Street Lighting Service 1 (i.e. relating to provision of new street lighting assets) is mapped to the 'Other Customer Requested Works' and attributed to the Regulated Capex LOB in the Chart of Accounts. This means the overhead rate used in the Quoted Services formula to calculate the incremental cost difference between the provision of standard and non-standard street lighting assets will be the annual Regulated Capex overhead rate calculated by Ergon Energy in accordance with the CAM.
  - All other Fee Based and Quoted Services are mapped to a range of activities attributed to the Customer Services LOB in the Chart of Accounts. This means the overhead rate used in the formula to calculate the tariffs to be levied for these Fee Based and Quoted Services will be the annual Customer Services overhead rate calculated by Ergon Energy in accordance with the CAM.

Ergon Energy's 2011-12 overhead rate calculation is provided in [Appendix 4](#).

## **6.12.2 Changes in Methodology Employed to Derive Formula Components**

As set out in section 18.3.5 of the Final Distribution Determination, Ergon Energy is required to set out the nature and extent of any variation or adjustment to the methodology employed to derive a formula component escalator, on-cost or overhead rate.

Under the AER's Final Distribution Determination, Ergon Energy is able to recalculate labour and materials escalators and overhead rates for each regulatory year. Changes to the nature of these components are discussed below.

### **6.12.2.1 Labour Escalators**

Ergon Energy has not varied or adjusted the methodology employed to derive labour escalators.

### **6.12.2.2 Materials Escalators**

Ergon Energy has not varied or adjusted the methodology employed to derive materials escalators.

### **6.12.2.3 Other Costs Escalators**

Ergon Energy has not varied or adjusted the methodology employed to derive Other Costs escalators.

### **6.12.2.4 Overhead Rates**

Ergon Energy has not varied or adjusted the methodology employed to derive overhead rates. Overhead rates are calculated in accordance with the AER approved CAM.

## **6.13 Alternative Control Services Volume and Revenue for 2009-10**

### **6.13.1 Quoted and Fee Based Services**

As set out in section 18.3.5 of the Final Distribution Determination, the AER requires that Ergon Energy provide the volume of Fee Based and Quoted Services provided and the revenues recovered from the provision of each individual Fee Based and Quoted Service in the preceding regulatory year.

Ergon Energy is only able to provide volumes and revenues of services at the level reported through its Regulatory Accounts. Table 6.7 sets out the actual volumes and revenues for the Excluded Distribution Services provided by Ergon Energy in 2009-10 split where possible into the new classification of Fee Based Services.

Table 6.8 sets out the actual volumes and revenues for the Excluded Distribution Services provided by Ergon Energy in 2009-10 split where possible into the new classification of Quoted Services.

**Table 6.7: Fee Based Services – Volumes and Revenues for 2009-10**

| Service                                                                                      | Service Description                                                                                                                                                                                                                                                           | Volume | Revenue ('000) <sup>2</sup> |
|----------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|-----------------------------|
| De-energisation during business hours                                                        | De-energisation commenced during business hours, all instances                                                                                                                                                                                                                |        |                             |
| Re-energisation during business hours                                                        | Re-energisation commenced during business hours.                                                                                                                                                                                                                              |        |                             |
| Re-test at customer's installation during business hours                                     | Customer has submitted Form A and the Retailer has issued a Service Order Request, but installation fails test and cannot be connected, requiring a re-test of the installation - business hours                                                                              |        |                             |
| Supply Abolishment during business hours                                                     | Decommissioning of a NMI and associated metering. May be used where a property is to be demolished; supply is no longer required; an alternative connection point is to be used; or a redundant supply is to be removed                                                       |        |                             |
| Temporary Builders Supply, not in permanent position - single phase metered – business hours | Connection of a single phase supply to a meter location that is not permanent                                                                                                                                                                                                 |        |                             |
| Temporary Builders Supply not in permanent position - multi phase metered – business hours   | Connection of a multi phase supply to a meter location that is not permanent                                                                                                                                                                                                  |        |                             |
| Restoration of supply required due to customer action, during business hours                 | For example: service fuse replacement or restoration of loss of supply caused by the customer's installation - business hours                                                                                                                                                 |        |                             |
| Wasted truck visit                                                                           | Service is not able to be completed after truck has left the depot. Includes: Retailer/customer cancels service order after truck has left the depot but before service order is completed; Crew is unable to access site to perform service order; or Customer has submitted |        |                             |

<sup>2</sup> Where services have been performed but no revenue recorded, this is the result of the price caps imposed by the Queensland Government through Schedule 8 of the Electricity Regulation 2006.

| Service | Service Description                                                                                    | Volume | Revenue ('000) <sup>2</sup> |
|---------|--------------------------------------------------------------------------------------------------------|--------|-----------------------------|
|         | Form A and the Retailer a Service Order Request, but the installation is not ready on arrival at site. |        |                             |

**Table 6.8: Quoted Services - Volumes and Revenues for 2009-10**

| Service                                                                                           | Service Description                                                                                                                                                                                                                 | Volume | Revenue (\$'000) <sup>3</sup> |
|---------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|-------------------------------|
| Project Fees                                                                                      | Fees associated with consideration of projects other than sub-divisions                                                                                                                                                             |        |                               |
| Provision, Installation and Maintenance of Meters Beyond Minimum Requirements at Customer Request | Provision of meters above the minimum regulatory requirements                                                                                                                                                                       |        |                               |
| Prepayment Meters at Customer Request                                                             | Installation of pre-payment meters on request - see Notified Prices for conditions.                                                                                                                                                 |        |                               |
| Temporary De-energisation single visit during business hours - no dismantling                     | Temporary de-energisation and re-energisation of supply at the service fuse to allow customer or contractor to work close - no dismantling of service required (i.e. no service line drop). Typically 1 hour or less on site        |        |                               |
| Re-energisation after hours                                                                       | Re-energisation commenced after business hours, all instances                                                                                                                                                                       |        |                               |
| De-energisation after hours                                                                       | De-energisation commenced after business hours, all instances                                                                                                                                                                       |        |                               |
| LV Service Line Drop and Replace in Single Visit during Business Hours - Physical Dismantling     | Temporary de-energisation and re-energisation of supply to allow customer or contractor to work close - the service will be physically dismantled or disconnected (e.g. Overhead Service dropped). Typically 1 hour or less on site |        |                               |
| HV Service line drop and replace in single visit during business hours                            | Temporary de-energisation and re-energisation of supply to allow customer or contractor to work close - High Voltage Switching and access is required.                                                                              |        |                               |
| HV Service line drop and replace in single visit after hours                                      | Temporary de-energisation and re-energisation of supply to allow customer or contractor to work close - High Voltage Switching and access is required.                                                                              |        |                               |

<sup>3</sup> Where services have been performed but no revenue recorded, this is the result of the price caps imposed by the Queensland Government through Schedule 8 of the Electricity Regulation 2006, or as the result of rounding of values to the nearest \$,000.

| Service                                                                                             | Service Description                                                                                                                                                                                | Volume | Revenue (\$'000) <sup>3</sup> |
|-----------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|-------------------------------|
| Temporary de-energisation two visits during business hours (same day)- no dismantling               | Temporary de-energisation and re-energisation of supply at the service fuse to allow customer or contractor to work close - no dismantling of service required (i.e. no service line drop).        |        |                               |
| LV Service line drop and replace two visits during business hours (same day) - physical dismantling | Temporary de-energisation and re-energisation of supply to allow customer or contractor to work close - the service will be physically dismantled or disconnected (e.g. Overhead Service dropped). |        |                               |
| LV Service line drop and replace two visits after hours (same day) - physical dismantling           | Temporary de-energisation and re-energisation of supply to allow customer or contractor to work close - the service will be physically dismantled or disconnected (e.g. Overhead Service dropped). |        |                               |
| Move the meter                                                                                      | Relocate meter from current position; no change of service point.                                                                                                                                  |        |                               |
| Removal of a meter                                                                                  | Removal of a meter at retailer request; no re-wiring required.                                                                                                                                     |        |                               |
| Meter exchange at request of retailer                                                               | Like for like meter exchange, unless not allowed by regulation.                                                                                                                                    |        |                               |
| Special meter read                                                                                  | Off-cycle meter read, during business hours.                                                                                                                                                       |        |                               |
| Meter check read                                                                                    | Off-cycle meter read, during business hours.                                                                                                                                                       |        |                               |
| Removal of load control device                                                                      | Remove load control relay or time clock.                                                                                                                                                           |        |                               |
| Change Tariff                                                                                       | Change to tariff, that requires meter reprogramming (except for controlled load timing changes.                                                                                                    |        |                               |
| Change Time Switch                                                                                  | Change to timeswitch setting                                                                                                                                                                       |        |                               |
| Meter test                                                                                          | Meter test by EECL - only available where meter installed and operational.                                                                                                                         |        |                               |

| Service                                                                                                | Service Description                                                                                                                                           | Volume | Revenue (\$'000) <sup>3</sup> |
|--------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|-------------------------------|
| Provision of service after hours, requiring one person crew                                            | For example: safety observer, installation inspection, query tariff, revenue protection activity - after hours                                                |        |                               |
| Provision of service during business hours requiring two person crew                                   | For example: tree trimming, switching - business hours                                                                                                        |        |                               |
| Provision of service after hours requiring two person crew                                             | For example: tree trimming, switching - after hours                                                                                                           |        |                               |
| Provision of metering data above minimum requirements                                                  | For example: urgent delivery, summarisation of metering data etc                                                                                              |        |                               |
| Provision of historical metering data                                                                  | Request for historical metering data prior to the previous 2 years, on request.                                                                               |        |                               |
| Overhead service upgrade - no change to load                                                           |                                                                                                                                                               |        |                               |
| Underground service upgrade                                                                            | For example change from single phase to multi phase and/or increase capacity                                                                                  |        |                               |
| High Load Escort - network service                                                                     | Request by customer to disconnect and reconnect to the distribution network and lift wires to allow a high load vehicle through the most appropriate corridor |        |                               |
| Higher reliability or quality of supply                                                                | Customer requested increase in reliability or quality of supply beyond the standard                                                                           |        |                               |
| Relocation of point of attachment of service (single visit) - single/multi phase during business hours | De-energisation, followed by physical dismantling then reattachment of service and re-energisation. Typically one hour or less on site.                       |        |                               |
| Relocation of point of attachment of service (two visits)- single/multi phase during business hours    | De-energisation, followed by physical dismantling then reattachment of service and re-energisation                                                            |        |                               |
| Tiger tails                                                                                            | Installation of covers on service lines                                                                                                                       |        |                               |

| Service                                                              | Service Description                                                                                                        | Volume | Revenue (\$'000) <sup>3</sup> |
|----------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------|--------|-------------------------------|
| Conversion of aerial bundled cables                                  | Conversion of separate aerial cables to bundled aerial cables.                                                             |        |                               |
| Restoration of Supply required due to customer action - after hours  | For example: service fuse replacement or restoration of loss of supply caused by the customer's installation - after hours |        |                               |
| Rectification of illegal connections                                 | Repair works to re-establish a safe and legal connection                                                                   |        |                               |
| Provision of service during business hours requiring one person crew | For example: safety observer, installation inspection, query tariff, revenue protection activity - business hours          |        |                               |

### 6.13.2 Street Lighting Services

Section 17.3.3 of the AER's Final Distribution Determination requires Ergon Energy to provide information on the revenues collected from the provision of each Street Lighting Service in the preceding regulatory year.

The AER has classified Street Lighting Services as an Alternative Control Service. However, in the previous regulatory control period, Street Lighting was a Prescribed Distribution Service and therefore included in the revenue cap. This means that there was no equivalent Street Lighting Service in 2009-10. As a result, Ergon Energy is not able to provide information on the revenue collected from Street Lighting Services in 2009-10.

## 6.14 Procurement Processes and Procedures for Quoted Services

On 19 May 2011, the Tribunal varied the AER's Final Distribution Determination to allow Ergon Energy to charge customers other one-off costs it incurs relating to the delivery of a Quoted Service. As part of this decision, the Australian Competition Tribunal specified that Ergon Energy must report on any departures from its procurement processes and procedures in delivering Quoted Services that include Other Costs, as part of its Annual Pricing Proposal to the AER.

Ergon Energy provided detailed explanations of its procurement process and procedures to the AER as part of the Tribunal review process in 2010. Ergon Energy has not departed from, or varied its procurement processes or procedures since that time.

## 6.15 Forecasting Methodology

Clause 6.18.8(a)(2) of the Rules requires that the AER must approve the Pricing Proposal if it is satisfied that all forecasts associated with the proposal are reasonable.

This section demonstrates how Ergon Energy considers that the forecasts used for pricing purposes are reasonable, having specific regard for the development of energy consumption, energy demand, customer numbers and TUOS payments forecasts.

Ergon Energy annually prepares a one year forecast of customer numbers and energy consumption for preparation of its Pricing Proposal. These forecasts are prepared in two phases, with the first phase prepared in November and December of each year to provide an initial forecast; and the second phase conducted in February and March of each year to refine the forecasts based on the most up to date information available prior to preparation of the annual Pricing Proposal. In conjunction with this process, individual demands for the ICC, CAC and EG customers are also reviewed.

Both forecast phases have been completed and the refined forecasts used for developing the prices are set out in [Appendix 2](#) of this Pricing Proposal.

The methodology used to forecast customer numbers, energy consumption and load for the purposes of developing the tariffs set out in this Pricing Proposal is the same as that used by Ergon Energy throughout the 2005-10 regulatory control period and the previous regulatory year (2010-11). The forecasts developed by this methodology in the 2010-11 regulatory year were accepted by the AER.

Ergon Energy's Network Pricing section undertakes its projection of energy throughput based on the customer groupings ICC, CAC, SAC and EG. The forecast for EGs is the amount of energy generated into Ergon Energy's distribution system. For all other customer groups, it is energy consumption that is being forecast.

The annual projections for energy for all customer groups are based on extrapolations of historical data, with adjustments made for known additions and losses of load. Forecasts are compared to reports provided by external consultants and to publicly available projections of population growth. Similarly customer number forecasts on extrapolations of historical data and compared to publicly available projections of population growth.

The projected load for ICC, CAC & EG customers who have Connection & Access Agreements is based on their contracted demand, or if no agreement is in place their forecast demand is based on extrapolations of historical data, with adjustments made for known additions and losses of load. Similarly the demand at each Transmission Connection Point is forecast which is provided to Powerlink for use in the setting of their TUOS prices. Demand is not measured or forecast for the SAC customer grouping but sub-group demands are calculated using appropriate Load Factors which are then used as allocators in the Pricing Model.

Annual TUOS payments are made to Powerlink, other DNSPs, and EGs for Avoided TUOS. The forecast of annual TUOS payments to Powerlink is based on preliminary TUOS prices provided by Powerlink in February each year and then updated with final prices in March each year. Forecast energy and demand is applied to the TUOS prices to give forecast TUOS payments for each Transmission Connection Point. Similarly forecast TUOS payments to other DNSPs are based on rates provided by the DNSP and forecast energy and demand applicable to that supply. Forecast Avoided TUOS payments are based on the relevant EGs forecast export used within the Ergon distribution network and the relevant Transmission locational energy charge.

In approving Ergon Energy's 2010-11 Pricing Proposal the AER accepted Ergon Energy's forecasts as reasonable. Ergon Energy has not departed from this forecasting methodology in developing prices for the 2011-12 regulatory year.

## 6.16 Revenue is consistent with MAR formula

### 6.16.1 Calculation of MAR

Section 4.5.1 of the AER's Final Distribution Determination requires Ergon Energy to demonstrate in its Pricing Proposal that the proposed tariffs and charging parameters which lead to expected revenue are consistent with the Maximum Allowable Revenue (MAR) formula, plus any unders or overs adjustment needed to move the balance of DUOS unders and overs account to zero. This section sets out the manner in which prices have been developed based on revenue that has regard for all necessary adjustments.

The MAR formula, as set out in section 4.5.1 of the Final Distribution Determination, is determined annually by adjusting the allowed revenue (AR) for a given regulatory year for any STPIS revenue increment (or revenue decrement) and any approved passthrough amounts, as follows:

$$\text{MAR}_t = \text{AR}_t \pm S_t \pm C_t \pm \text{transitional}_t \pm \text{passthrough}_t$$

Where:

$\text{AR}_t$  is the allowed revenue for regulatory year  $t$

$S_t$  is the STPIS factor to be applied in regulatory year  $t$ ;

$C_t$  is the annual adjustment factor for the difference between actual and forecast capital contributions in year  $t-2$  and indexed for two years by the nominal rate of return;

$\text{transitional}_t$  is a transitional factor for matters such as unders and overs in tax paid during the current regulatory period and unders and overs adjustments related to standard shared assets used for purposes other than Standard Control Services; and

$\text{passthrough}_t$  is the approved passthrough amounts with respect to regulatory year  $t$ , as determined by the AER.

In accordance with section 4.5.1 of the Final Distribution Determination, allowed revenue is to be calculated as:

$$\text{AR}_t = \text{AR}_{t-1} \times (1 + \Delta\text{CPI}_t) \times (1 - X_t)$$

Where:

$\text{AR}_{t-1}$  is the allowed revenue for regulatory year  $t-1$

$\Delta\text{CPI}_t$  is the annual percentage change in the ABS Consumer Price Index All Groups, Weighted Average of Eight Capital Cities from March in year  $t-2$  to March in year  $t-1$

$X_t$  is the X factor for each year of the next regulatory control period as determined by the PTRM<sup>4</sup>

Ergon Energy has calculated the MAR in accordance with the above formula as set out in Appendix 2. The MAR was then adjusted for the DUOS unders and overs account and the reversal of the benchmark tax liability increase as detailed in section 6.11.1. This adjusted MAR forms an input to the DCOS model, which is subsequently used to calculate Ergon Energy's network tariffs as set out in section 2.2 of this Pricing Proposal.

### **6.16.2 DUOS Unders and Overs Account**

Any difference between the MAR and the DUOS revenue recovered from customers and retailers, is offset via an annual unders and overs process. In a similar fashion to the TUOS revenue unders and overs process, there is a two year lag between the year in which the under or over recovery occurs and the year in which the adjustment to the expected DUOS revenue to be recovered is made.

The AER requires that Ergon Energy maintain a DUOS unders and overs account which is to be provided to the AER in this Pricing Proposal.

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<sup>4</sup> Note that the Tribunal varied the outcomes from the Final Distribution Determination including the X factor to be applied in 2011-12.

Table 6.9 below sets out the DUOS unders and overs account in accordance with Appendix D of the Final Distribution Determination and satisfies this requirement.

Section 4.4.2 of the AER's Final Distribution Determination sets out the tolerance limits that are to apply to DUOS unders and overs recoveries. If the DUOS under or over recovery compared to the MAR for year  $t$  is:

- Less than 2 percent, the DUOS under or over recovery will be cleared within one regulatory year;
- Between 2 percent and 5 percent, the DUOS under or over recovery can be spread over 2 regulatory years; and
- Greater than 5 percent, Ergon Energy must submit a plan to the AER detailing how it proposes to clear the balance of the DUOS unders and overs account.

**Table 6.9: Calculation of DUOS Unders and Overs Account (\$'000)**

|                                                               | <b>2009-10</b> | <b>2011-12</b>  |
|---------------------------------------------------------------|----------------|-----------------|
|                                                               | <b>Actual</b>  | <b>Forecast</b> |
| <b>Revenue from DUOS charges</b>                              | \$853,051      | \$1,194,750     |
| Less under/over adjustment approved by regulator for year t-2 |                | n/a             |
| Reversal of benchmark tax liability                           |                | (40,860)        |
| <b>Less MAR for the relevant year</b>                         | \$853,300      | \$1,235,314     |
| Allowed Revenue (AR)                                          |                | \$1,247,546     |
| STIPIS                                                        |                | \$0             |
| Capital Contribution unders/overs adjustment                  |                | (\$17,416)      |
| Transitional adjustments                                      |                | \$5,184         |
| Approved pass throughs                                        |                | \$0             |
| <b>Under/Over recovery for the regulatory year</b>            | <b>(\$249)</b> | <b>\$296</b>    |
|                                                               |                |                 |
| <b>DUOS Unders and Overs Account</b>                          |                |                 |
| Nominal WACC - as determined by QCA for 2009-10               | 8.50%          | n/a             |
| Nominal WACC - as determined by AER for 2010-11               | 9.72%          |                 |
|                                                               |                |                 |
| Opening balance                                               | \$0            | (\$296)         |
| Interest on opening balance                                   | \$0            | n/a             |
| Under / over recovery for regulatory year 2009-10             | (\$249)        | \$296           |
| Interest on under / over recovery for regulatory year 2009-10 | (\$21)         | \$n/a           |
| Subtotal - Under/over plus interest                           | (\$270)        |                 |
| Interest on under / over recovery for regulatory year 2010-11 | (\$26)         |                 |
| <b>Closing Balance</b>                                        | <b>(\$296)</b> | <b>\$0</b>      |

## **6.17 Compliance with the Rules and Distribution Determination Requirements**

Clause 6.18.2(b)(7) of the Rules requires Ergon Energy to demonstrate compliance with the Rules and any applicable Distribution Determination.

Section 1.7 of this proposal provides references to demonstrated compliance of the Rules and applicable Distribution Determination.

## APPENDIX 1: TABLE OF SITE SPECIFIC NETWORK TARIFFS FOR STANDARD CONTROL SERVICES

Clause 6.18.2(b)(2) of the Rules requires Ergon Energy to set out the proposed tariffs for each tariff class.

Clause 6.18.2(b)(3) of the Rules requires Ergon Energy to set out, for each proposed tariff, the charging parameters and the elements of service to which each charging parameter relates.

Clause 6.18.9(a)(2) of the Rules requires Ergon Energy to maintain on its website for each tariff the charging parameters and the elements of the service to which each charging parameter relates.

Standard Control Services network tariffs for SACs are set out below. Site specific network tariffs are provided in (confidential) Appendix 2.

| STANDARD ASSET CUSTOMERS > 100MWh per annum - DEMAND HIGH VOLTAGE <b>GST Exclusive</b> |                                 |                                        |      |                                   |                                         |                                 |                                   |                                         |                                    |
|----------------------------------------------------------------------------------------|---------------------------------|----------------------------------------|------|-----------------------------------|-----------------------------------------|---------------------------------|-----------------------------------|-----------------------------------------|------------------------------------|
| Network<br>Tariff<br>Code                                                              | Minimum<br>Chargeable<br>Demand | Default<br>Distribution<br>Loss Factor |      | Distribution Use Of System (DUOS) |                                         |                                 | Transmission Use Of System (TUOS) |                                         |                                    |
|                                                                                        |                                 |                                        |      | Fixed<br>Charge<br>(NDFC)         | Actual<br>Demand<br>Charge<br>(NDADC)   | Volume<br>Charge<br>(NDVC)      | Fixed<br>Charge<br>(NTFC)         | Capacity<br>Charge<br>(NTCC)            | Volume<br>Charge<br>(NTVC)         |
|                                                                                        | kilowatts                       | Value                                  | Code | dollars<br>per day                | dollars<br>per<br>kilowatt<br>per month | dollars per<br>kilowatt<br>hour | dollars<br>per day                | dollars<br>per<br>kilowatt<br>per month | dollars<br>per<br>kilowatt<br>hour |
| EDHT1                                                                                  | 400                             | 1.038                                  | GEHL | \$14.989                          | \$14.537                                | \$0.00363                       | \$3.016                           | \$0.869                                 | \$0.01060                          |
| EDHT2                                                                                  | 400                             | 1.038                                  | GEHL | \$14.989                          | \$14.537                                | \$0.00363                       | \$3.177                           | \$1.809                                 | \$0.01319                          |
| EDHT3                                                                                  | 400                             | 1.038                                  | GEHL | \$14.989                          | \$14.537                                | \$0.00363                       | \$3.271                           | \$3.768                                 | \$0.01666                          |
| WDHT1                                                                                  | 400                             | 1.118                                  | GWHL | \$20.624                          | \$37.491                                | \$0.00973                       | \$3.016                           | \$0.869                                 | \$0.01060                          |
| WDHT2                                                                                  | 400                             | 1.118                                  | GWHL | \$20.624                          | \$37.491                                | \$0.00973                       | \$3.177                           | \$1.809                                 | \$0.01319                          |
| WDHT3                                                                                  | 400                             | 1.118                                  | GWHL | \$20.624                          | \$37.491                                | \$0.00973                       | \$3.271                           | \$3.768                                 | \$0.01666                          |
| MIDH                                                                                   | 400                             | 1.038                                  | GMHL | POA                               | POA                                     | POA                             | \$2.364                           | \$0.598                                 | \$0.00057                          |

| STANDARD ASSET CUSTOMERS > 100MWh per annum - DEMAND LARGE <b>GST Exclusive</b> |                                 |                                        |      |                                   |                                         |                                 |                                   |                                         |                                 |
|---------------------------------------------------------------------------------|---------------------------------|----------------------------------------|------|-----------------------------------|-----------------------------------------|---------------------------------|-----------------------------------|-----------------------------------------|---------------------------------|
| Network<br>Tariff<br>Code                                                       | Minimum<br>Chargeable<br>Demand | Default<br>Distribution<br>Loss Factor |      | Distribution Use Of System (DUOS) |                                         |                                 | Transmission Use Of System (TUOS) |                                         |                                 |
|                                                                                 |                                 |                                        |      | Fixed<br>Charge<br>(NDFC)         | Actual<br>Demand<br>Charge<br>(NDADC)   | Volume<br>Charge<br>(NDVC)      | Fixed<br>Charge<br>(NTFC)         | Capacity<br>Charge<br>(NTCC)            | Volume<br>Charge<br>(NTVC)      |
|                                                                                 | kilowatts                       | Value                                  | Code | dollars<br>per day                | dollars<br>per<br>kilowatt<br>per month | dollars per<br>kilowatt<br>hour | dollars<br>per day                | dollars<br>per<br>kilowatt<br>per month | dollars per<br>kilowatt<br>hour |
| EDLT1                                                                           | 400                             | 1.072                                  | GELL | \$25.350                          | \$18.337                                | \$0.00364                       | \$3.016                           | \$0.869                                 | \$0.01060                       |
| EDLT2                                                                           | 400                             | 1.072                                  | GELL | \$25.350                          | \$18.337                                | \$0.00364                       | \$3.177                           | \$1.809                                 | \$0.01319                       |
| EDLT3                                                                           | 400                             | 1.072                                  | GELL | \$25.350                          | \$18.337                                | \$0.00364                       | \$3.271                           | \$3.768                                 | \$0.01666                       |
| WDLT1                                                                           | 400                             | 1.302                                  | GWLL | \$31.998                          | \$61.469                                | \$0.00973                       | \$3.016                           | \$0.869                                 | \$0.01060                       |
| WDLT2                                                                           | 400                             | 1.302                                  | GWLL | \$31.998                          | \$61.469                                | \$0.00973                       | \$3.177                           | \$1.809                                 | \$0.01319                       |
| WDLT3                                                                           | 400                             | 1.302                                  | GWLL | \$31.998                          | \$61.469                                | \$0.00973                       | \$3.271                           | \$3.768                                 | \$0.01666                       |
| MIDL                                                                            | 400                             | 1.073                                  | GMLL | \$21.156                          | \$11.967                                | \$0.00344                       | \$2.364                           | \$0.598                                 | \$0.00057                       |

| STANDARD ASSET CUSTOMERS > 100MWh per annum - DEMAND MEDIUM <b>GST Exclusive</b> |                                 |                                        |      |                                   |                                         |                                 |                                   |                                         |                                 |
|----------------------------------------------------------------------------------|---------------------------------|----------------------------------------|------|-----------------------------------|-----------------------------------------|---------------------------------|-----------------------------------|-----------------------------------------|---------------------------------|
| Network<br>Tariff<br>Code                                                        | Minimum<br>Chargeable<br>Demand | Default<br>Distribution<br>Loss Factor |      | Distribution Use Of System (DUOS) |                                         |                                 | Transmission Use Of System (TUOS) |                                         |                                 |
|                                                                                  |                                 |                                        |      | Fixed<br>Charge<br>(NDFC)         | Actual<br>Demand<br>Charge<br>(NDADC)   | Volume<br>Charge<br>(NDVC)      | Fixed<br>Charge<br>(NTFC)         | Capacity<br>Charge<br>(NTCC)            | Volume<br>Charge<br>(NTVC)      |
|                                                                                  | kilowatts                       | Value                                  | Code | dollars<br>per day                | dollars<br>per<br>kilowatt<br>per month | dollars per<br>kilowatt<br>hour | dollars<br>per day                | dollars<br>per<br>kilowatt<br>per month | dollars per<br>kilowatt<br>hour |
| EDMT1                                                                            | 120                             | 1.072                                  | GELL | \$14.438                          | \$19.167                                | \$0.00364                       | \$3.016                           | \$0.869                                 | \$0.01060                       |
| EDMT2                                                                            | 120                             | 1.072                                  | GELL | \$14.438                          | \$19.167                                | \$0.00364                       | \$3.177                           | \$1.809                                 | \$0.01319                       |
| EDMT3                                                                            | 120                             | 1.072                                  | GELL | \$14.438                          | \$19.167                                | \$0.00364                       | \$3.271                           | \$3.768                                 | \$0.01666                       |
| WDMT1                                                                            | 120                             | 1.302                                  | GWLL | \$16.659                          | \$62.636                                | \$0.00973                       | \$3.016                           | \$0.869                                 | \$0.01060                       |
| WDMT2                                                                            | 120                             | 1.302                                  | GWLL | \$16.659                          | \$62.636                                | \$0.00973                       | \$3.177                           | \$1.809                                 | \$0.01319                       |
| WDMT3                                                                            | 120                             | 1.302                                  | GWLL | \$16.659                          | \$62.636                                | \$0.00973                       | \$3.271                           | \$3.768                                 | \$0.01666                       |
| MIDM                                                                             | 120                             | 1.073                                  | GMLL | \$13.375                          | \$12.558                                | \$0.00344                       | \$2.364                           | \$0.598                                 | \$0.00057                       |

| STANDARD ASSET CUSTOMERS > 100MWh per annum - DEMAND SMALL <b>GST Exclusive</b> |                                 |                                        |      |                                   |                                         |                                 |                                   |                                         |                                 |
|---------------------------------------------------------------------------------|---------------------------------|----------------------------------------|------|-----------------------------------|-----------------------------------------|---------------------------------|-----------------------------------|-----------------------------------------|---------------------------------|
| Network<br>Tariff<br>Code                                                       | Minimum<br>Chargeable<br>Demand | Default<br>Distribution<br>Loss Factor |      | Distribution Use Of System (DUOS) |                                         |                                 | Transmission Use Of System (TUOS) |                                         |                                 |
|                                                                                 |                                 |                                        |      | Fixed<br>Charge<br>(NDFC)         | Actual<br>Demand<br>Charge<br>(NDADC)   | Volume<br>Charge<br>(NDVC)      | Fixed<br>Charge<br>(NTFC)         | Capacity<br>Charge<br>(NTCC)            | Volume<br>Charge<br>(NTVC)      |
|                                                                                 | kilowatts                       | Value                                  | Code | dollars<br>per day                | dollars<br>per<br>kilowatt<br>per month | dollars per<br>kilowatt<br>hour | dollars<br>per day                | dollars<br>per<br>kilowatt<br>per month | dollars per<br>kilowatt<br>hour |
| EDST1                                                                           | 30                              | 1.072                                  | GELL | \$1.616                           | \$22.422                                | \$0.00364                       | \$3.016                           | \$0.869                                 | \$0.01060                       |
| EDST2                                                                           | 30                              | 1.072                                  | GELL | \$1.616                           | \$22.422                                | \$0.00364                       | \$3.177                           | \$1.809                                 | \$0.01319                       |
| EDST3                                                                           | 30                              | 1.072                                  | GELL | \$1.616                           | \$22.422                                | \$0.00364                       | \$3.271                           | \$3.768                                 | \$0.01666                       |
| WDST1                                                                           | 30                              | 1.302                                  | GWLL | \$2.637                           | \$66.196                                | \$0.00973                       | \$3.016                           | \$0.869                                 | \$0.01060                       |
| WDST2                                                                           | 30                              | 1.302                                  | GWLL | \$2.637                           | \$66.196                                | \$0.00973                       | \$3.177                           | \$1.809                                 | \$0.01319                       |
| WDST3                                                                           | 30                              | 1.302                                  | GWLL | \$2.637                           | \$66.196                                | \$0.00973                       | \$3.271                           | \$3.768                                 | \$0.01666                       |
| MIDS                                                                            | 30                              | 1.073                                  | GMLL | \$1.550                           | \$15.558                                | \$0.00344                       | \$2.364                           | \$0.598                                 | \$0.00057                       |

| STANDARD ASSET CUSTOMERS < 100MWh per annum - VOLUME LARGE <b>GST Exclusive</b> |                                     |      |                                      |                                 |                                      |                                 |
|---------------------------------------------------------------------------------|-------------------------------------|------|--------------------------------------|---------------------------------|--------------------------------------|---------------------------------|
| Network<br>Tariff<br>Code                                                       | Default Distribution Loss<br>Factor |      | Distribution Use Of<br>System (DUOS) |                                 | Transmission Use Of<br>System (TUOS) |                                 |
|                                                                                 |                                     |      | Fixed<br>Charge<br>(NDFC)            | Volume<br>Charge<br>(NDVC)      | Fixed<br>Charge<br>(NTFC)            | Volume<br>Charge<br>(NTVC)      |
|                                                                                 | Value                               | Code | dollars per<br>day                   | dollars per<br>kilowatt<br>hour | dollars per<br>day                   | dollars per<br>kilowatt<br>hour |
| EVL1                                                                            | 1.072                               | GELL | \$1.774                              | \$0.07971                       | \$0.844                              | \$0.01060                       |
| EVL2                                                                            | 1.072                               | GELL | \$1.774                              | \$0.07971                       | \$1.375                              | \$0.01319                       |
| EVL3                                                                            | 1.072                               | GELL | \$1.774                              | \$0.07971                       | \$2.365                              | \$0.01666                       |
| WVLT1                                                                           | 1.302                               | GWLL | \$3.514                              | \$0.27755                       | \$0.844                              | \$0.01060                       |
| WVLT2                                                                           | 1.302                               | GWLL | \$3.514                              | \$0.27755                       | \$1.375                              | \$0.01319                       |
| WVLT3                                                                           | 1.302                               | GWLL | \$3.514                              | \$0.27755                       | \$2.365                              | \$0.01666                       |
| MIVL                                                                            | 1.073                               | GMLL | \$1.483                              | \$0.06095                       | \$0.724                              | \$0.00057                       |



| STANDARD ASSET CUSTOMERS < 100MWh per annum - VOLUME SMALL <b>GST Exclusive</b> |                                     |      |                                      |                                 |                                      |                                 |
|---------------------------------------------------------------------------------|-------------------------------------|------|--------------------------------------|---------------------------------|--------------------------------------|---------------------------------|
| Network<br>Tariff<br>Code                                                       | Default Distribution Loss<br>Factor |      | Distribution Use Of<br>System (DUOS) |                                 | Transmission Use Of<br>System (TUOS) |                                 |
|                                                                                 |                                     |      | Fixed<br>Charge<br>(NDFC)            | Volume<br>Charge<br>(NDVC)      | Fixed<br>Charge<br>(NTFC)            | Volume<br>Charge<br>(NTVC)      |
|                                                                                 | Value                               | Code | dollars per<br>day                   | dollars per<br>kilowatt<br>hour | dollars per<br>day                   | dollars per<br>kilowatt<br>hour |
| EVST1                                                                           | 1.072                               | GELL | \$1.107                              | \$0.07971                       | \$0.107                              | \$0.01060                       |
| EVST2                                                                           | 1.072                               | GELL | \$1.107                              | \$0.07971                       | \$0.186                              | \$0.01319                       |
| EVST3                                                                           | 1.072                               | GELL | \$1.107                              | \$0.07971                       | \$0.296                              | \$0.01666                       |
| WVST1                                                                           | 1.302                               | GWLL | \$1.231                              | \$0.27755                       | \$0.107                              | \$0.01060                       |
| WVST2                                                                           | 1.302                               | GWLL | \$1.231                              | \$0.27755                       | \$0.186                              | \$0.01319                       |
| WVST3                                                                           | 1.302                               | GWLL | \$1.231                              | \$0.27755                       | \$0.296                              | \$0.01666                       |
| MIVS                                                                            | 1.073                               | GMLL | \$0.750                              | \$0.06095                       | \$0.130                              | \$0.00057                       |

| STANDARD ASSET CUSTOMERS < 100MWh per annum - VOLUME NIGHT CONTROLLED <b>GST Exclusive</b> |                                     |      |                                      |                                 |                                      |                                 |
|--------------------------------------------------------------------------------------------|-------------------------------------|------|--------------------------------------|---------------------------------|--------------------------------------|---------------------------------|
| Network<br>Tariff<br>Code                                                                  | Default Distribution Loss<br>Factor |      | Distribution Use Of<br>System (DUOS) |                                 | Transmission Use Of<br>System (TUOS) |                                 |
|                                                                                            |                                     |      | Fixed<br>Charge<br>(NDFC)            | Volume<br>Charge<br>(NDVC)      | Fixed<br>Charge<br>(NTFC)            | Volume<br>Charge<br>(NTVC)      |
|                                                                                            | Value                               | Code | dollars per<br>day                   | dollars per<br>kilowatt<br>hour | dollars per<br>day                   | dollars per<br>kilowatt<br>hour |
| EVNT1                                                                                      | 1.072                               | GELL | \$0.080                              | \$0.00248                       |                                      | \$0.01060                       |
| EVNT2                                                                                      | 1.072                               | GELL | \$0.080                              | \$0.00248                       |                                      | \$0.01319                       |
| EVNT3                                                                                      | 1.072                               | GELL | \$0.080                              | \$0.00248                       |                                      | \$0.01666                       |
| WVNT1                                                                                      | 1.302                               | GWLL | \$0.093                              | \$0.00735                       |                                      | \$0.01060                       |
| WVNT2                                                                                      | 1.302                               | GWLL | \$0.093                              | \$0.00735                       |                                      | \$0.01319                       |
| WVNT3                                                                                      | 1.302                               | GWLL | \$0.093                              | \$0.00735                       |                                      | \$0.01666                       |
| MIVN                                                                                       | 1.073                               | GMLL | \$0.100                              | \$0.00236                       |                                      | \$0.00057                       |

| STANDARD ASSET CUSTOMERS < 100MWh per annum - VOLUME CONTROLLED <b>GST Exclusive</b> |                                     |      |                                      |                                 |                                      |                                 |
|--------------------------------------------------------------------------------------|-------------------------------------|------|--------------------------------------|---------------------------------|--------------------------------------|---------------------------------|
| Network<br>Tariff<br>Code                                                            | Default Distribution Loss<br>Factor |      | Distribution Use Of<br>System (DUOS) |                                 | Transmission Use Of<br>System (TUOS) |                                 |
|                                                                                      |                                     |      | Fixed<br>Charge<br>(NDFC)            | Volume<br>Charge<br>(NDVC)      | Fixed<br>Charge<br>(NTFC)            | Volume<br>Charge<br>(NTVC)      |
|                                                                                      | Value                               | Code | dollars per<br>day                   | dollars per<br>kilowatt<br>hour | dollars per<br>day                   | dollars per<br>kilowatt<br>hour |
| EVCT1                                                                                | 1.072                               | GELL | \$0.080                              | \$0.02032                       |                                      | \$0.01060                       |
| EVCT2                                                                                | 1.072                               | GELL | \$0.080                              | \$0.02032                       |                                      | \$0.01319                       |
| EVCT3                                                                                | 1.072                               | GELL | \$0.080                              | \$0.02032                       |                                      | \$0.01666                       |
| WVCT1                                                                                | 1.302                               | GWLL | \$0.093                              | \$0.05945                       |                                      | \$0.01060                       |
| WVCT2                                                                                | 1.302                               | GWLL | \$0.093                              | \$0.05945                       |                                      | \$0.01319                       |
| WVCT3                                                                                | 1.302                               | GWLL | \$0.093                              | \$0.05945                       |                                      | \$0.01666                       |
| MIVC                                                                                 | 1.073                               | GMLL | \$0.100                              | \$0.00859                       |                                      | \$0.00057                       |

| STANDARD ASSET CUSTOMERS < 100MWh per annum - VOLUME UNMETERED <b>GST Exclusive</b> |                                     |      |                                      |                                 |                                      |                                 |
|-------------------------------------------------------------------------------------|-------------------------------------|------|--------------------------------------|---------------------------------|--------------------------------------|---------------------------------|
| Network<br>Tariff<br>Code                                                           | Default Distribution Loss<br>Factor |      | Distribution Use Of<br>System (DUOS) |                                 | Transmission Use Of<br>System (TUOS) |                                 |
|                                                                                     |                                     |      | Fixed<br>Charge<br>(NDFC)            | Volume<br>Charge<br>(NDVC)      | Fixed<br>Charge<br>(NTFC)            | Volume<br>Charge<br>(NTVC)      |
|                                                                                     | Value                               | Code | dollars per<br>day                   | dollars per<br>kilowatt<br>hour | dollars per<br>day                   | dollars per<br>kilowatt<br>hour |
| EVUT1                                                                               | 1.072                               | GELL | \$0.204                              | \$0.06923                       |                                      | \$0.01060                       |
| EVUT1MI                                                                             | 1.072                               | GELL | \$0.204                              | \$0.06923                       |                                      | \$0.01060                       |
| EVUT1MA                                                                             | 1.072                               | GELL | \$0.204                              | \$0.06923                       |                                      | \$0.01060                       |
| EVUT2                                                                               | 1.072                               | GELL | \$0.204                              | \$0.06923                       |                                      | \$0.01319                       |
| EVUT2MI                                                                             | 1.072                               | GELL | \$0.204                              | \$0.06923                       |                                      | \$0.01319                       |
| EVUT2MA                                                                             | 1.072                               | GELL | \$0.204                              | \$0.06923                       |                                      | \$0.01319                       |
| EVUT3                                                                               | 1.072                               | GELL | \$0.204                              | \$0.06923                       |                                      | \$0.01666                       |
| EVUT3MI                                                                             | 1.072                               | GELL | \$0.204                              | \$0.06923                       |                                      | \$0.01666                       |
| EVUT3MA                                                                             | 1.072                               | GELL | \$0.204                              | \$0.06923                       |                                      | \$0.01666                       |
| WVUT1                                                                               | 1.302                               | GWLL | \$0.216                              | \$0.19825                       |                                      | \$0.01060                       |
| WVUT1MI                                                                             | 1.302                               | GWLL | \$0.216                              | \$0.19825                       |                                      | \$0.01060                       |
| WVUT1MA                                                                             | 1.302                               | GWLL | \$0.216                              | \$0.19825                       |                                      | \$0.01060                       |
| WVUT2                                                                               | 1.302                               | GWLL | \$0.216                              | \$0.19825                       |                                      | \$0.01319                       |
| WVUT2MI                                                                             | 1.302                               | GWLL | \$0.216                              | \$0.19825                       |                                      | \$0.01319                       |
| WVUT2MA                                                                             | 1.302                               | GWLL | \$0.216                              | \$0.19825                       |                                      | \$0.01319                       |
| WVUT3                                                                               | 1.302                               | GWLL | \$0.216                              | \$0.19825                       |                                      | \$0.01666                       |
| WVUT3MI                                                                             | 1.302                               | GWLL | \$0.216                              | \$0.19825                       |                                      | \$0.01666                       |
| WVUT3MA                                                                             | 1.302                               | GWLL | \$0.216                              | \$0.19825                       |                                      | \$0.01666                       |
| MIVU                                                                                | 1.073                               | GMLL | \$0.173                              | \$0.04269                       |                                      | \$0.00057                       |
| MIVUMI                                                                              | 1.073                               | GMLL | \$0.173                              | \$0.04269                       |                                      | \$0.00057                       |
| MIVUMA                                                                              | 1.073                               | GMLL | \$0.173                              | \$0.04269                       |                                      | \$0.00057                       |

## **APPENDIX 2: STANDARD CONTROL SERVICES PRICING MODEL**

This confidential model provides the following information for the AER's consideration:

- Calculation of the unders and overs accounts for DUOS and TUOS;
- Demonstration of how Ergon Energy meets the side constraints test under section 6.18.6 of the Rules;
- Demonstration of how Ergon Energy meets the tests for stand alone and avoidable cost under section 6.18.5 of the Rules; and
- The network tariff rates for 2011-12 and associated revenues and reconciliation.

## APPENDIX 3: ALTERNATIVE CONTROL SERVICES TARIFFS

All prices in this Appendix are GST Exclusive.

### Fee Based Services

| Service                                                                                                                     | 2011-12<br>GST Exclusive |
|-----------------------------------------------------------------------------------------------------------------------------|--------------------------|
| Subdivision Fees                                                                                                            | \$ 881.64                |
| Project Fees                                                                                                                | \$ 881.64                |
| De-energisation during business hours - urban/short rural feeders                                                           | \$ 93.97                 |
| De-energisation during business hours - long rural / isolated feeders                                                       | \$ 544.67                |
| Re-energisation during business hours - urban/short rural feeders                                                           | \$ 74.72                 |
| Re-energisation during business hours - long rural / isolated feeders                                                       | \$ 507.63                |
| Re-test at customer's installation during business hours - urban/short rural feeders                                        | \$ 326.80                |
| Re-test at customer's installation during business hours - long rural / isolated feeders                                    | \$ 653.61                |
| Supply Abolishment during business hours - urban/short rural feeders                                                        | \$ 326.80                |
| Supply Abolishment during business hours - long rural / isolated feeders                                                    | \$ 653.61                |
| Temporary Builders Supply, not in permanent position- single phase metered - business hours - urban/short rural feeders     | \$ 544.67                |
| Temporary Builders Supply, not in permanent position- single phase metered - business hours - long rural / isolated feeders | \$ 871.48                |
| Temporary Builders Supply not in permanent position - multi phase metered - business hours - urban/short rural feeders      | \$ 544.67                |
| Temporary Builders Supply not in permanent position - multi phase metered - business hours - long rural / isolated feeders  | \$ 871.48                |
| Restoration of supply required due to customer action, during business hours - urban/short rural feeders                    | \$ 326.80                |
| Restoration of supply required due to customer action, during business hours - long rural / isolated feeders                | \$ 653.61                |
| Wasted truck visit - one person crew - urban/short rural feeders                                                            | \$ 51.47                 |
| Wasted truck visit - one person crew - long rural / isolated feeders                                                        | \$ 205.86                |
| Wasted truck visit - two person crew - urban/short rural feeders                                                            | \$ 108.07                |
| Wasted truck visit - two person crew - long rural / isolated feeders                                                        | \$ 432.30                |

### Quoted Services

In relation to each Quoted Service, it important to note that the prices set out are examples of potential prices for Quoted Services. This is because the actual prices for Quoted Services will be determined at the time of the customer's enquiry and will reflect that actual requirements of the service.

| Service                                                                                           | 2011-12<br>GST Exclusive |
|---------------------------------------------------------------------------------------------------|--------------------------|
| Removal / Relocation of Ergon Energy assets at customer request                                   | \$ 29,469.35             |
| Move point of attachment at customer's request                                                    | \$ 653.61                |
| Tiger tails                                                                                       | \$ 339.65                |
| Metering Data Provider services                                                                   | \$ 149.24                |
| Metering Data Provider services above minimum requirements                                        | \$ 404.84                |
| Meter test                                                                                        | \$ 435.74                |
| Change tariff                                                                                     | \$ 226.43                |
| Change time switch                                                                                | \$ 113.22                |
| Removal of meter                                                                                  | \$ 217.87                |
| Removal of load control device                                                                    | \$ 217.87                |
| Special meter read                                                                                | \$ 54.55                 |
| Reprogram card meters                                                                             | \$ 339.65                |
| Exchange meter                                                                                    | \$ 326.80                |
| Move meter                                                                                        | \$ 326.80                |
| Provision of connection services above minimum requirements                                       | \$ 721.14                |
| Overhead service upgrade                                                                          | \$ 544.67                |
| Underground service upgrade                                                                       | \$ 3,996.64              |
| Provision, installation and maintenance of meters beyond minimum requirements at customer request | \$ 704.97                |
| Prepayment meters at customer request                                                             | \$ 1,016.64              |
| Temporary de-energisation and re-energisation                                                     | \$ 326.80                |
| De-energisation after hours                                                                       | \$ 233.97                |
| Re-energisation after hours                                                                       | \$ 186.05                |
| Attend loss of supply - not DNSP fault (after hours)                                              | \$ 422.84                |
| Emergency Recoverable works                                                                       | \$ 1,086.46              |
| Subdivision Fees                                                                                  | \$ 1,516.25              |
| Project Fees                                                                                      | \$ 583.17                |
| High Load Escort - lifting of lines                                                               | \$ 7,245.90              |
| Rectification of illegal connections                                                              | \$ 566.09                |
| Conversion of aerial bundled cables                                                               | \$ 674.52                |
| Provision of service crew / additional crew                                                       | \$ 283.04                |
| Large Customer Connection – example 1                                                             | \$ 174,795.08            |
| Large Customer Connection – example 2                                                             | \$ 10,295,219.28         |
| Large Customer Connection – example 3                                                             | \$ 11,211,536.58         |

## Street Lighting Services

| Street Lighting Charges | 2011-12<br>Fixed Charge (\$/day/light)<br>GST - Exclusive |
|-------------------------|-----------------------------------------------------------|
| East - Major            | 0.89                                                      |
| East - Minor            | 0.53                                                      |
| West - Major            | 0.89                                                      |
| West - Minor            | 0.53                                                      |
| Mount Isa - Major       | 0.89                                                      |
| Mount Isa - Minor       | 0.53                                                      |

## **APPENDIX 4: ALTERNATIVE CONTROL SERVICES PRICING MODELS**

These confidential models provide quantitative information to demonstrate the calculation of Fee Based and Quoted Services.

## APPENDIX 5: ALTERNATIVE CONTROL SERVICES FUTURE PRICES

As discussed in section 6.10, Ergon Energy is required to provide a statement of expected price trends. This Appendix sets out indicative prices for Fee Based and Quoted Services and actual prices for Street Lighting Services for 2012-13 to 2014-15.

As noted in section 6.10.2.2.1, the prices for Fee Based and Quoted Services are indicative only and will be recalculated each year to reflect revised labour and materials escalators and overhead rates. All prices in this Appendix are GST Exclusive.

### Fee Based Services

| Service                                                                                                                     | 2012-13   | 2013-14   | 2014-15   |
|-----------------------------------------------------------------------------------------------------------------------------|-----------|-----------|-----------|
| Subdivision Fees                                                                                                            | \$ 887.95 | \$ 911.03 | \$ 930.82 |
| Project Fees                                                                                                                | \$ 887.95 | \$ 911.03 | \$ 930.82 |
| De-energisation during business hours - urban/short rural feeders                                                           | \$ 94.64  | \$ 97.10  | \$ 99.22  |
| De-energisation during business hours - long rural / isolated feeders                                                       | \$ 548.59 | \$ 562.82 | \$ 575.14 |
| Re-energisation during business hours - urban/short rural feeders                                                           | \$ 75.25  | \$ 77.21  | \$ 78.90  |
| Re-energisation during business hours - long rural / isolated feeders                                                       | \$ 511.29 | \$ 524.55 | \$ 536.03 |
| Re-test at customer's installation during business hours - urban/short rural feeders                                        | \$ 329.15 | \$ 337.69 | \$ 345.08 |
| Re-test at customer's installation during business hours - long rural / isolated feeders                                    | \$ 658.31 | \$ 675.39 | \$ 690.16 |
| Supply Abolishment during business hours - urban/short rural feeders                                                        | \$ 329.15 | \$ 337.69 | \$ 345.08 |
| Supply Abolishment during business hours - long rural / isolated feeders                                                    | \$ 658.31 | \$ 675.39 | \$ 690.16 |
| Temporary Builders Supply, not in permanent position- single phase metered - business hours - urban/short rural feeders     | \$ 548.59 | \$ 562.82 | \$ 575.14 |
| Temporary Builders Supply, not in permanent position- single phase metered - business hours - long rural / isolated feeders | \$ 877.75 | \$ 900.51 | \$ 920.22 |
| Temporary Builders Supply not in permanent position - multi phase metered - business hours - urban/short rural feeders      | \$ 548.59 | \$ 562.82 | \$ 575.14 |
| Temporary Builders Supply not in permanent position - multi phase metered - business hours - long rural / isolated feeders  | \$ 877.75 | \$ 900.51 | \$ 920.22 |
| Restoration of supply required due to customer action, during business hours - urban/short rural feeders                    | \$ 329.15 | \$ 337.69 | \$ 345.08 |
| Restoration of supply required due to customer action, during business hours - long rural / isolated feeders                | \$ 658.31 | \$ 675.39 | \$ 690.16 |

| Service                                                              | 2012-13   | 2013-14   | 2014-15   |
|----------------------------------------------------------------------|-----------|-----------|-----------|
| Wasted truck visit - one person crew - urban/short rural feeders     | \$ 51.84  | \$ 53.18  | \$ 54.34  |
| Wasted truck visit - one person crew - long rural / isolated feeders | \$ 207.35 | \$ 212.71 | \$ 217.36 |
| Wasted truck visit - two person crew - urban/short rural feeders     | \$ 108.85 | \$ 111.67 | \$ 114.11 |
| Wasted truck visit - two person crew - long rural / isolated feeders | \$ 435.39 | \$ 446.68 | \$ 456.46 |

## Quoted Services

In relation to each Quoted Service, it important to note that the prices set out are examples of potential prices for Quoted Services. This is because the actual prices for Quoted Services will be determined at the time of the customer's enquiry and will reflect that actual requirements of the service.

| Service                                                                                           | 2012-13      | 2013-14      | 2014-15      |
|---------------------------------------------------------------------------------------------------|--------------|--------------|--------------|
| Removal / Relocation of Ergon Energy assets at customer request                                   | \$ 29,640.84 | \$ 30,296.01 | \$ 30,815.39 |
| Move point of attachment at customer's request                                                    | \$ 658.31    | \$ 675.39    | \$ 690.16    |
| Tiger tails                                                                                       | \$ 342.06    | \$ 350.95    | \$ 358.64    |
| Metering Data Provider services                                                                   | \$ 150.28    | \$ 154.19    | \$ 157.55    |
| Metering Data Provider services above minimum requirements                                        | \$ 407.72    | \$ 418.30    | \$ 427.43    |
| Meter test                                                                                        | \$ 438.87    | \$ 450.26    | \$ 460.11    |
| Change tariff                                                                                     | \$ 228.04    | \$ 233.97    | \$ 239.09    |
| Change time switch                                                                                | \$ 114.02    | \$ 116.98    | \$ 119.55    |
| Removal of meter                                                                                  | \$ 219.44    | \$ 225.13    | \$ 230.05    |
| Removal of load control device                                                                    | \$ 219.44    | \$ 225.13    | \$ 230.05    |
| Special meter read                                                                                | \$ 54.95     | \$ 56.37     | \$ 57.60     |
| Reprogram card meters                                                                             | \$ 342.06    | \$ 350.95    | \$ 358.64    |
| Exchange meter                                                                                    | \$ 329.15    | \$ 337.69    | \$ 345.08    |
| Move meter                                                                                        | \$ 329.15    | \$ 337.69    | \$ 345.08    |
| Provision of connection services above minimum requirements                                       | \$ 725.78    | \$ 743.09    | \$ 757.43    |
| Overhead service upgrade                                                                          | \$ 548.59    | \$ 562.82    | \$ 575.14    |
| Underground service upgrade                                                                       | \$ 4,020.76  | \$ 4,112.14  | \$ 4,185.81  |
| Provision, installation and maintenance of meters beyond minimum requirements at customer request | \$ 709.34    | \$ 725.84    | \$ 739.33    |
| Prepayment meters at customer request                                                             | \$ 1,023.29  | \$ 1,048.01  | \$ 1,068.65  |
| Temporary de-energisation and re-energisation                                                     | \$ 329.15    | \$ 337.69    | \$ 345.08    |

| Service                                              | 2012-13          | 2013-14          | 2014-15          |
|------------------------------------------------------|------------------|------------------|------------------|
| De-energisation after hours                          | \$ 235.65        | \$ 241.77        | \$ 247.07        |
| Re-energisation after hours                          | \$ 187.38        | \$ 192.25        | \$ 196.47        |
| Attend loss of supply - not DNSP fault (after hours) | \$ 425.87        | \$ 436.93        | \$ 446.52        |
| Emergency Recoverable works                          | \$ 1,094.30      | \$ 1,122.73      | \$ 1,147.20      |
| Subdivision Fees                                     | \$ 1,527.19      | \$ 1,566.90      | \$ 1,600.89      |
| Project Fees                                         | \$ 587.38        | \$ 602.65        | \$ 615.73        |
| High Load Escort - lifting of lines                  | \$ 7,297.32      | \$ 7,487.02      | \$ 7,651.02      |
| Rectification of illegal connections                 | \$ 570.10        | \$ 584.92        | \$ 597.74        |
| Conversion of aerial bundled cables                  | \$ 679.11        | \$ 695.98        | \$ 710.24        |
| Provision of service crew / additional crew          | \$ 285.05        | \$ 292.46        | \$ 298.87        |
| Large Customer Connection – example 1                | \$ 176,052.67    | \$ 177,301.95    | \$ 179,402.05    |
| Large Customer Connection – example 2                | \$ 10,376,619.02 | \$ 10,473,323.41 | \$ 10,654,887.65 |
| Large Customer Connection – example 3                | \$ 11,297,451.87 | \$ 11,393,784.38 | \$ 11,579,065.46 |

## Street Lighting Services

| Street Lighting Charges | Fixed Charge (\$/day/light) |         |         |
|-------------------------|-----------------------------|---------|---------|
|                         | GST Exclusive               |         |         |
|                         | 2012-13                     | 2013-14 | 2014-15 |
| East - Major            | 0.93                        | 0.97    | 0.97    |
| East - Minor            | 0.55                        | 0.58    | 0.58    |
| West - Major            | 0.93                        | 0.97    | 0.97    |
| West - Minor            | 0.55                        | 0.58    | 0.58    |
| Mount Isa - Major       | 0.93                        | 0.97    | 0.97    |
| Mount Isa - Minor       | 0.55                        | 0.58    | 0.58    |

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